Eco 402 Final Term Quizzes

1. **The "perfect information" assumption of perfect competition includes all of the following except one. Which one?**

Consumers know their preferences.
Consumers know their income levels.
Consumers know the prices available.
Consumers can anticipate price changes.

2. **Incremental cost is the same concept as _____________ cost.**

Average
Marginal
Fixed
Variable

3. **A production function assumes a given:**

Technology.
Set of input prices.
Ratio of input prices.
Amount of output.

4. **Assume that beer is an inferior good. If the price of beer falls, then the substitution effect results in the person buying ______ of the good and the income effect results in the person buying ______ of the good.**

More, more
More, less
Less, more
Less, less

5. **Producer surplus for the whole market can be thought of as:**

Total profit.
Variable operating profit plus factor rents.
Total profit minus factor rents earned by lower cost firms.
Total profit plus factor rents earned by lower cost firms.

6. **Baba Burgers has discovered there are economies of scope available to the restaurant. Which is most likely to be a response to this discovery?**

Baba expands burger production, focusing on that one good.
Baba contracts burger production.
Baba adds grilled chicken sandwiches to the menu.
Baba cuts back on the diversity of the menu.

7. **The endpoints (horizontal and vertical intercepts) of the budget line:**

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

8. **The "perfect information" assumption of perfect competition includes all of the following except one. Which one?**

Consumers know their preferences.
Consumers know their income levels.
Consumers know the prices available.
Consumers can anticipate price changes.

9. **The difference between the economic and accounting costs of a firm are:**

The accountant's fees.
The corporate taxes on profits.
The opportunity costs of the factors of production that the firm owns.
The sunk costs incurred by the firm.

10. **lastic and steel are substitutes in the production of body panels for certain automobiles. If the price of plastic increases, with other things remaining the same, we would expect:**

The price of steel to fall.
The demand curve for steel to shift to the right.
The demand curve for plastic to shift to the left.
The demand curve for steel to shift to the left.

Quiz 2

11. Cost-output elasticity can be written and calculated as:

MC/AC.
AC/MC
(AC)(MC)
(AC)2(MC)

12. Fixed costs are fixed with respect to changes in:

Output.
Capital expenditure.
Wages.
Time.

13. The presence of a learning curve may induce a decision maker in a startup firm to choose:

Low levels of output to exploit economies of scale.
High levels of output to exploit economies of scale.
Low levels of output to shift the average cost curve down over time.
High levels of output to shift the average cost curve down over time.

14. Which of the following is true regarding the relationship between returns to scale and economies of scope?

A firm experiencing economies of scope must also experience increasing returns to scale.
Economies of scale and economies of scope must occur together.
A firm experiencing increasing returns to scale must also experience economies of scope.
There is no definite relationship between returns to scale and economies of scope.

15. **Salman would prefer a certain income of $20,000 to a gamble with a 0.5 probability of $10,000 and a 0.5 probability of $30,000. Based on this information:**

We can infer that Salman is risk neutral.
We can infer that Salman is risk averse.
We can infer that Salman is risk loving.
We cannot infer Salman 's risk preferences.

16. **When the average product is decreasing, marginal product:**

Equals average product.
Is increasing.
Exceeds average product.
Is less than average product.

17. **Government intervention can increase total welfare when:**

There are costs or benefits that are external to the market.
Consumers do not have perfect information about product quality.
A high price makes the product unaffordable for most consumers.
There are costs or benefits that are external to the market and consumers do not have perfect information about product quality.

18. **If a competitive firm's marginal cost curve is U-shaped then:**

Its short run supply curve is U-shaped too.
Its short run supply curve is the downward-sloping portion of the marginal cost curve.
Its short run supply curve is the upward-sloping portion of the marginal cost curve.
Its short run supply curve is the upward-sloping portion of the marginal cost curve that lies above the short run average variable cost curve.

19. **Economies of scope refer to:**

Changes in technology.
The very long run.
Multiproduct firms.
Single product firms that utilize multiple plants.

20. **Although there are many reasons why a market can be non-competitive, the principal economic difference between a competitive and a non-competitive market is:**

The extent to which any firm can influence the price of the product.

The size of the firms in the market.
The annual sales made by the largest firms in the market.
The presence of government intervention.

21. Indifference curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases, then increases.

22. The endpoints (horizontal and vertical intercepts) of the budget line:

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

23. Consider the following statements when answering this question: I. "In the long run equilibrium of a perfectly competitive market, a firm's producer surplus equals the sum of the economic rents earned on its inputs to production." II. "In the long run equilibrium of a perfectly competitive market, the amount of economic profit earned can differ across firms, but not the amount of producer surplus."

I and II are true.
I is true, and II is false.
I is false, and II is true.
I and II are false.

24. Suppose that the prices of good A and good B were to suddenly double. If good A is plotted along the horizontal axis:

The budget line will become steeper.
The budget line will become flatter.
The slope of the budget line will not change.
The slope of the budget line will change, but in an indeterminate way.

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25. A country's government would like to raise the price of one its most important agricultural crops, coffee beans. Which of the following government programs will result in higher prices for coffee beans?
Select correct option:

An import quota on coffee beans.

An acreage limitation program which provides coffee bean farmers financial incentives to leave some of their acreage idle.
An import tariff on coffee beans.
All of the given options.

26. **Which of the following is NOT a generally accepted measure of the riskiness of an investment?**

Select correct option:

Standard deviation.
Expected value.
Variance.
None of the given options.

27. **Which of the following is a positive statement?**

Select correct option:

When the price of a good goes up, consumers buy less of it.
When the price of a good goes up, firms produce more of it.
When the Federal government sells bonds, interest rates rise and private investment is reduced.
All of the given options.

28. **Rabia knows average total cost and average variable cost for a given level of output. Which of the following costs can she not determine given this information?**

Select correct option:

Average fixed cost
Fixed cost
Variable cost
Rabia can determine all of the above costs given the information provided.

29. **Which of the following is NOT true about price floors?**

Select correct option:

Consumer surplus is always lower than it would be in the competitive equilibrium.
Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.
Producer surplus could be negative as the result of a price floor.
Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.

30. **A production function in which the inputs are perfectly substitutable would have isoquants that are:**

Select correct option:

Convex to the origin.
L shaped.
Linear.
Concave to the origin.

31. **For an inferior good:**

Select correct option:

The price elasticity of demand is negative; the income elasticity of demand is negative.
The price elasticity of demand is positive; the income elasticity of demand is negative.
The price elasticity of demand is negative; the income elasticity of demand is positive.
The price elasticity of demand is positive; the income elasticity of demand is positive.

32. **The short run is:**

Select correct option:

Less than a year.
Three years.
However long it takes to produce the planned output.
A time period in which at least one input is fixed.

33. **Any combination of products inside the production possibility frontier is:**

Select correct option:

Allocatively inefficient
Consumer inefficient
Productively inefficient

None of the given option.

34. **Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?**

Select correct option:

Preferences are complete.
Preferences are transitive.
Consumers prefer more of a good to less.
None of the given options.

35. **In 1970s the federal government imposed price controls on natural gas. Which of the following statements is true?**

Select correct option:

These price controls caused a chronic excess supply of natural gas.
Consumers gained from the price controls, because consumer surplus was larger than it would have been under free market equilibrium.
Producers gained from the price controls because producer surplus was larger than it would have been under free market equilibrium.
This episode of price controls was unusual, because it resulted in no deadweight loss to society.

36. **A production function defines the output that can be produced:**

Select correct option:

At the lowest cost, given the inputs available.
With the fewest amount of inputs.
If the firm is technically efficient.
In a given time period if no additional inputs are hired.

37. **A firm never operates:**

Select correct option:

At the minimum of its ATC curve.
At the minimum of its AVC curve.
On the downward-sloping portion of its ATC curve.
On the downward-sloping portion of its AVC curve.

38. **Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:**

Select correct option:

Diseconomies of scope.
Economies of scale.
Decreasing returns to scale.
Increasing returns to scale.

39. **In long-run competitive equilibrium, a firm that owns factors of production will have an:**

Select correct option:

Economic profit = $0 and accounting profit > $0.
Economic and accounting profit = $0.
Economic and accounting profit > $0.
Economic and accounting profit can take any value.

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40. **When a product transformation curve is bowed outward, there are _______________ in production.**

Economies of scope
Economies of scale
Diseconomies of scope
Diseconomies of scale

41. **The marginal rate of technical substitution is equal to the:**

Slope of the total product curve.
Change in output minus the change in labor.
Change in output divided by the change in labor.
Ratio of the marginal products of the inputs.

42. Consider two goods X and Y available for consumption. Assume that the price of X changes while the price of Y remains fixed. For these two goods, the price-consumption curve illustrates the:

Relationship between the price of X and consumption of Y.
Utility-maximizing combinations of X and Y for each price of X.
Relationship between the price of Y and the consumption of X.
Utility-maximizing combinations of X and Y for each quantity of X.

43. Assume that two investment opportunities have identical expected values of $100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:

A because it has less risk.
A because it provides higher potential earnings.
B because it has less risk.
B because of its higher potential earnings.

44. The law of diminishing returns refers to diminishing:
: Total returns.
Marginal returns.
Average returns.
All of the given option

45. : If the isoquants are straight lines, then:

: Inputs have fixed costs at all use rates.
The marginal rate of technical substitution of inputs is constant.
Only one combination of inputs is possible.
There are constant returns to scale.

H99s1: 4th
46. : The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

: 200
5Q
5
5 + (200/Q)

47. The demand curve facing a perfectly competitive firm is:

The same as the market demand curve.
Downward-sloping and less flat than the market demand curve.

Perfectly horizontal.
Perfectly vertical.

48. **: The cost-output elasticity is used to measure:**

Economies of scope.
Economies of scale.
The curvature in the fixed cost curve.
Steepness of the production function.

:

49. **The budget line in portfolio analysis shows that:**

The expected return on a portfolio increases as the standard deviation of that return increases.
The expected return on a portfolio increases as the standard deviation of that return decreases.
The expected return on a portfolio is constant.
The standard deviation of a portfolio is constant.

50. **A Rolling Stones song goes: "You can't always get what you want." This echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?**

Consumers must make the best purchasing decisions they can, given their limited incomes.
Workers do not have as much leisure as they would like, given their wages and working conditions.
Workers in planned economies, such as North Korea, do not have much choice over jobs.
Firms in market economies have limited financial resources.

51. **Compared to a tariff, an import quota, which restricts imports to the same amount as the tariff, will leave the country as a whole:**

Worse off than a comparable tariff.
Not as bad off as a comparable tariff.
About the same as a comparable tariff.
Any of the above can be true.

52. **Any combination of products inside the production possibility frontier is:**

Allocatively inefficient
Consumer inefficient
Productively inefficient
None of the given option.

53. : In the long run, which of the following is considered a variable cost?

Expenditures for wages.
Expenditures for raw materials.
Expenditures for capital machinery and equipment.
All of the given options.

54. Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:

: Diseconomies of scope.
Economies of scale.
Decreasing returns to scale.
Increasing returns to scale.

Eco 402 final term quiz file 2

1. The marginal product of an input is:
Select correct option:

Total product divided by the amount of the input used to produce this amount of output.
The addition to total output that adds nothing to profit.
The addition to total output due to the addition of one unit of all other inputs.
The addition to total output due to the addition of the last unit of an input, holding all other inputs constant.

2. Which of the following would cause a shift to the right of the supply curve for gasoline? I. A large increase in the price of public transportation. II. A large decrease in the price of automobiles. III. A large reduction in the costs of producing gasoline.
Select correct option:
I only.
II only.
III only.
II and III only.

3. Incremental cost is the same concept as ______________ cost.
Select correct option:
Average
Marginal
Fixed
Variable

4. Which of the following assets is almost riskless?
Select correct option:
Common stocks
Long-term corporate bonds
U.S. treasury bills

Long-term government bonds

5. **Consider the following statements when answering this question: I. "In the long run, if a firm wants to remain in a competitive industry then it needs to own resources that are in limited supply." II. "In this competitive market our firm's long run survival depends only on the efficiency of our production process."**

Select correct option:
I and II are true.
I is true, and II is false.
I is false, and II is true.
I and II are false.

6. **Above-normal profits are guaranteed for:**

Select correct option:
A monopoly, but not a perfectly competitive firm.
A perfectly competitive firm, but not a monopoly.
Both a monopoly and a perfectly competitive firm.
Neither a monopoly nor a perfectly competitive firm.

7. **The benefit of a subsidy accrues mostly to consumers:**

Select correct option:
In every instance.
If Ed/Es is large.
If Ed/Es is small.
If Ed and Es are equal.

8. **The cost-output elasticity is used to measure:**

Select correct option:
Economies of scope.
Economies of scale.
The curvature in the fixed cost curve.
Steepness of the production function.

9. **A firm maximizes profit by operating at the level of output where:**

Select correct option:
Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

10. **A firm's producer surplus equals its economic profit when:**

Select correct option:
Average variable costs are minimized.
Marginal costs equal marginal revenue.
Fixed costs are zero.
Total revenues equal total variable costs.

11. **The price of good A goes up. As a result the demand for good B shifts to the left. From** this we can infer that:

Select correct option:
Good A is used to produce good B.
Good B is used to produce good A.
Goods A and B are substitutes.
Goods A and B are complements.

12. **Deadweight loss refers to:**

Select correct option:
Losses in consumer surplus associated with excess government regulations.
Situations where market prices fail to capture all of the costs and benefits of a policy.
Net losses in total surplus.
Losses due to the policies of labor unions.

13. **Assume that a firm spends $500 on two inputs, labor (graphed on the horizontal axis) and capital (graphed on the vertical axis). If the wage rate is $20 per hour and the rental cost of capital is $25 per hour, the slope of the isocost curve will be:**

Select correct option:
500
25/500
- 4/5
25/20 or ¼

14. **Which of the following is true regarding income along a price consumption curve?**

Select correct option:
Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility.

Quiz 2

15. **Government intervention can increase total welfare when:**

Select correct option:

There are costs or benefits that are external to the market.

Consumers do not have perfect information about product quality.

A high price makes the product unaffordable for most consumers.

There are costs or benefits that are external to the market and consumers do not have perfect information about product quality.

16. **What does it mean when the CPI is higher this year than last?**

Select correct option:

The rate of inflation has increased.

There has been inflation since last year.

Real prices have increased.

Real prices have decreased.

17. **Which of the following would cause a shift to the right of the supply curve for gasoline? I. A large increase in the price of public transportation. II. A large decrease in the price of automobiles. III. A large reduction in the costs of producing gasoline.**

Select correct option:

I only.

II only.

III only.

II and III only.

18. **Fixed costs are fixed with respect to changes in:**

Select correct option:

Output.

Capital expenditure.

Wages.

Time.

19. **Which of the following is NOT true regarding monopoly?**

Select correct option:

Monopoly is the sole producer in the market.

Monopoly price is determined from the demand curve.

Monopolist can charge as high a price as it likes.

Monopoly demand curve is downward sloping.

20. **Jane is trying to decide which courses to take next semester. She has narrowed down her choice to two courses Microeconomics and Macroeconomics. Now she is having trouble. She just cannot decide which of the two courses to take. It's not that she is indifferent between the two courses, she just cannot decide. An economist would say that this is an example of preferences that:**

Select correct option:

Are not transitive.

Are incomplete.

Violate the assumption that more is preferred to less.

All of the given options.

21. **Technological improvement:**

Select correct option:

Can hide the presence of diminishing returns.

Can be shown as a shift in the total product curve.

Allows more output to be produced with the same combination of inputs.

All of the given options are true.

22. **Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability. Refer to the above scenario, which of the following is true?**

Select correct option:

Rabia has a higher expected expense than Samina for the car.

Rabia has a lower expected expense than Samina for the car.

Rabia and Samina have the same expected expense for the car, and it is somewhat less than $20,000.

It is not possible to calculate the expected expense for the car until the true probabilities are known.

23. **A firm never operates:**

Select correct option:

At the minimum of its ATC curve.

At the minimum of its AVC curve.

On the downward-sloping portion of its ATC curve.

On the downward-sloping portion of its AVC curve.

24. **Assume that one of two possible outcomes will follow a decision. One outcome yields a $75 payoff and has a probability of 0.3; the other outcome has a $125 payoff and has a probability of 0.7. In this case the expected value is:**

Select correct option:

$85.

$60.

$110.

$35.

25. **Good A is a normal good. The demand curve for good A:**

Select correct option:

Slopes downward.

Usually slopes downward, but could slope upward.

Slopes upward.

Usually slopes upward, but could slope downward.

26. **The function which shows combinations of inputs that yield the same output is called a(n):**

Select correct option:

Isoquant curve.

Isocost curve.

Production function.

Production possibilities frontier.

27. **The snob effect corresponds best to a:**

Select correct option:

Negative network externality.

Giffen good.

Positive network externality.

Bandwagon effect.

28. **In the long run, which of the following is considered a variable cost?**

Select correct option:

Expenditures for wages.

Expenditures for raw materials.

Expenditures for capital machinery and equipment.

All of the given options.

29. **When people pay a monthly fee to have a hookup to the telephone company's line plus a fee for each call actually made, we would say that the telephone company is using:**

Select correct option:

Limit pricing.

A two-part tariff.

Second-degree price discrimination.

Two stage price discrimination.

Quiz 3

30. The price elasticity of demand for a demand curve that has a zero slope is:

Select correct option:

Zero.

One.

Negative but approaches zero as consumption increases.

Infinity.

31. The concept of a risk premium applies to a person that is:

Select correct option:

Risk averse.

Risk neutral.

Risk loving.

All of the given options.

32. Price ceilings:

Select correct option:

Always increase consumer surplus.

May decrease consumer surplus if demand is sufficiently elastic.

May decrease consumer surplus if demand is sufficiently inelastic.

Always decrease consumer surplus.

33. The demand for books is: Qd = 120 - P The supply of books is: Qs = 5P Refer to the above scenario, if P=$15, which of the following is true?

Select correct option:

There is a surplus equal to 30.

There is a shortage equal to 30.

There is a surplus, but it is impossible to determine how large.

There is a shortage, but it is impossible to determine how large

34. **A firm maximizes profit by operating at the level of output where:**

Select correct option:

Average revenue equals average cost.

Average revenue equals average variable cost.

Total costs are minimized.

Marginal revenue equals marginal cost.

35. **If Px = Py, then when the consumer maximizes utility:**

Select correct option:

X must equal Y.

MU(X) must equal MU(Y).

MU(X) may equal MU(Y), but it is not necessarily so.

X and Y must be substitutes.

36. **Consider the following statements when answering this question: I. "In the long run, if a firm wants to remain in a competitive industry then it needs to own resources that are in limited supply." II. "In this competitive market our firm's long run survival depends only on the efficiency of our production process."**

Select correct option:

I and II are true.

I is true, and II is false.

I is false, and II is true. (Not Sure)

I and II are false.

37. **An investment opportunity is a sure thing; it will pay off $100 regardless of which of the three possible outcomes comes to pass. The variance of this investment opportunity:**

Select correct option:

Is 0.

Is 1.

Is 2.

Is -1.

38. **If X and Y are perfect substitutes, which of the following assumptions about indifference curves is not satisfied?**

Select correct option:

Completeness.

Transitivity.

More is preferred to less.

Diminishing marginal rate of substitution.

39. **If the market price for a competitive firm's output doubles then:**

Select correct option:

The profit maximizing output will double.

The marginal revenue doubles.

At the new profit maximizing output, price has increased more than marginal cost.

At the new profit maximizing output, price has risen more than marginal revenue.

40. **The long run supply curve in a constant-cost industry is linear and:**

Select correct option:

Upward-sloping.

Downward-sloping.

Horizontal.

Vertical.

41. **Marginal revenue, graphically, is:**

Select correct option:

The slope of a line from the origin to a point on the total revenue curve.

The slope of a line from the origin to the end of the total revenue curve.

The slope of the total revenue curve at a given point.

The vertical intercept of a line tangent to the total revenue curve at a given point.

42. **Elasticity measures:**

Select correct option:

The slope of a demand curve.

The inverse of the slope of a demand curve.

The percentage change in one variable in response to a one percent increase in another variable.

Sensitivity of price to a change in quantity.

Which of the following is a positive statement?

Select correct option:

The minimum wage should not be increased, because to do so would increase unemployment.

Smoking should be restricted on all airline flights.

All automobile passengers should be required to wear seatbelts in order to protect them against injury.

None of the given options.

43. **The "perfect information" assumption of perfect competition includes all of the following except one. Which one?**

Select correct option:

Consumers know their preferences.

Consumers know their income levels.

Consumers know the prices available.

Consumers can anticipate price changes.

Quiz 4

44. **In 1970s the federal government imposed price controls on natural gas. Which of the following statements is true?**
    Select correct option:

    These price controls caused a chronic excess supply of natural gas.
    Consumers gained from the price controls, because consumer surplus was larger than it would have been under free market equilibrium.
    Producers gained from the price controls because producer surplus was larger than it would have been under free market equilibrium.
    This episode of price controls was unusual, because it resulted in no deadweight loss to society.

10:09 PM **me**: a

45. **Our economy is characterized by:**
    Select correct option:

    Unlimited wants and needs
    Unlimited material resources
    No energy resources
    Abundant productive labor

me: a

46. **10:10 PM A Rolling Stones song goes: "You can't always get what you want." This echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?**
    Select correct option:

    Consumers must make the best purchasing decisions they can, given their limited incomes.
    Workers do not have as much leisure as they would like, given their wages and working conditions.
    Workers in planned economies, such as North Korea, do not have much choice over jobs.
    Firms in market economies have limited financial resources.

me: a

47. **10:11 PM The slope of the total product curve is the:**
    Select correct option:

    Average product.
    Slope of a line from the origin to the point.
    Marginal product.
    Marginal rate of technical substitution.

me: d
?

48. **10:12 PM A firm never operates:**
    Select correct option:

At the minimum of its ATC curve.
At the minimum of its AVC curve.
On the downward-sloping portion of its ATC curve.
On the downward-sloping portion of its AVC curve.

me: a

49. 10:13 PM **Indifference curves that are convex to the origin reflect:**
    Select correct option:

    An increasing marginal rate of substitution.
    A decreasing marginal rate of substitution.
    A constant marginal rate of substitution.
    A marginal rate of substitution that first decreases, then increases.

me: b

50. **What does it mean when the CPI is higher this year than last?**
    Select correct option:

    The rate of inflation has increased.
    There has been inflation since last year.
    Real prices have increased.
    Real prices have decreased.

me: c

51. **The presence of a learning curve may induce a decision maker in a startup firm to choose:**
    Select correct option:

    Low levels of output to exploit economies of scale.
    High levels of output to exploit economies of scale.
    Low levels of output to shift the average cost curve down over time.
    High levels of output to shift the average cost curve down over time.

10:15 PM **me**: d

52. **Assume that beer is an inferior good. If the price of beer falls, then the substitution effect results in the person buying ____ of the good and the income effect results in the person buying ____ of the good.**
    Select correct option:

    More, more
    More, less
    Less, more
    Less, less

10:16 PM **me**: c

53. **The change in the price of one good has no effect on the quantity demanded of another good. These goods are:**
    Select correct option:

    Complements.
    Substitutes.
    Both inferior.
    None of the given options.

10:17 PM **me**: a

54. **A person with a diminishing marginal utility of income:**
    Select correct option:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

10:18 PM **me**: a

55. **If indifference curves cross, then: Figure Based on figure given above, it can be inferred that:**
    Select correct option:

    The assumption of a diminishing marginal rate of substitution is violated.
    The assumption of transitivity is violated.
    The assumption of completeness is violated.
    Consumers minimize their satisfaction.

10:19 PM **me**: a

56. **Prospective sunk costs:**
    Select correct option:

    Are relevant to economic decision-making.
    Are considered as investment decisions.
    Rise as output rises.
    Do not occur when output equals zero.

me: a

57. **The variance of an investment opportunity:**
    Select correct option:

    Cannot be negative.
    Has the same unit of measure as the variable from which it is derived.
    Is a measure of central tendency.
    Is unrelated to the standard deviation.

Quiz 5

58. **The shutdown decision can be restated in terms of producer surplus by saying that a firm should produce in the short run as long as:**

Revenue exceeds producer surplus.
Producer surplus is positive.
Producer surplus exceeds fixed cost.
Producer surplus exceeds variable cos
6:26 PM 2

59. **me: In an unregulated, competitive market consumer surplus exists because some:**

Sellers are willing to take a lower price than the equilibrium price.
Consumers are willing to pay more than the equilibrium price.
Sellers will only sell at prices above equilibrium price (or actual price).
Consumers are willing to make purchases only if the price is below the actual price.

60. **6:28 PM me: Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000** with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000

with 1/4 probability and $20,000 with 3/4 probability. Refer to the above scenario, Rabia's expected expense for his car is:
$20,000.
$19,000.
$18,000.
$17,500.
me: An individual consumes only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?
me: MRSxy is at a maximum.
Px/Py = money income.
MRSxy = money income.
MRSxy = Px/Py.
6:30 PM3
4

61. **me: When the price of wood (which is an input in the production of furniture) falls, the consumer surplus associated with the consumption of furniture:**

Increases.
Decreases.
Does not change.
Insufficient information for judgement
1

62. **me: The profit maximizing rule MC = MR is followed by:**

A monopoly, but not a perfectly competitive firm.
A perfectly competitive firm, but not a monopoly.
Both a monopoly and a perfectly competitive firm.
Neither a monopoly nor a perfectly competitive firm.
2

63. **me: To find the profit maximizing level of output, a firm finds the output level where:**

6:34 PM Price equals marginal cost.
Marginal revenue and average total cost.
Price equals marginal revenue.
None of the given options.
1

64. **me: Which of the following statements is true regarding the differences between economic and** accounting costs?

Accounting costs include all implicit and explicit costs.
Economic costs include implied costs only.
Accountants consider only implicit costs when calculating costs.
Accounting costs include only explicit costs.

65. **me: Which of the following is true concerning the income effect of a decrease in price?**

1
It will lead to an increase in consumption only for a normal good.
It always will lead to an increase in consumption.
It will lead to an increase in consumption only for an inferior good.
It will lead to an increase in consumption only for a Giffen good.
6:37 PM 1

66. **me: If managers do not choose to maximize profit, but pursue some other goal such as revenue maximization or growth,**

They are more likely to become takeover targets of profit-maximizing firms.
They are less likely to be replaced by stockholders.
They are less likely to be replaced by the board of directors.
They are more likely to have higher profit than if they had pursued that policy explicitly.

67. me: Economies of scope refer to:

me: Changes in technology.
The very long run.
Multiproduct firms.
Single product firms that utilize multiple plants.
1

68. **me: Suppose that the price of labor (PL) is $10 and the price of capital (PK) is $20. What is the equation of the isocost line corresponding to a total cost of $100?**
Select correct option:

PL + 20PK
100 = 10L + 20K
100 = 30(L+K)
None of the given options
6:41 PMg
2

69. me: A monopoly is a market structure characterized by:

A single buyer.
A product with many close substitutes.
A large number of small firms.
Limited entry and exit.
6:45 PM **me**: Limited entry and exit.
monopolu
g

70. me: Although there are many reasons why a market can be non-competitive, the principal economic difference between a competitive and a non-competitive market is:

The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.
The presence of government intervention.
The extent to which any firm can influence the price of the product.

71. 6:47 PM me: The shutdown decision can be restated in terms of producer surplus by saying that a firm should produce in the short run as long as:

me: Revenue exceeds producer surplus.
Producer surplus is positive.
Producer surplus exceeds fixed cost.
Producer surplus exceeds variable cost.

72. me: In a short run production process, the marginal cost is rising and the average total cost is falling as output is increased. Thus, marginal cost is:

Below average total cost.
Above average total cost.
Between the average variable and average total cost curves.
Below average fixed cost.
2nd , because jab producer surplus positive hai, toh producer will stay in market

73. **me: An investment opportunity has two possible outcomes, and the value of the investment opportunity is $250. One outcome yields a $100 payoff and has a probability of 0.25. What is the probability of the other outcome?**
Select correct option:

0
0.25
0.5
0.75

74. me: The slope of the total product curve is the:
Average product.
Slope of a line from the origin to the point.
Marginal product.
Marginal rate of technical substitution.
4

75. **me: The Clinton administration has recommended an increase in the tax on yachts to help pay for government programs. Which of the following is true?**
Select correct option:

The burden of this tax will fall entirely on yacht manufacturers.
The sales of yachts will decrease.
The profit of yacht manufacturers will increase.
Employment of workers in the yacht industry will increase.

76. Price ceilings can result in a net loss in consumer surplus when the ____________ curve is ____________.

Demand; very elastic
Demand; very inelastic
Supply; very inelastic
None of the given options; price ceilings always increase consumer surplus.
1

77. For any given level of output:
Select correct option:
Marginal cost must be greater than average cost.
Average fixed cost must be greater than average variable cost.
Fixed cost must be greater than variable cost.
None of the given options is necessarily correct

78. **In the short run, a perfectly competitive firm earning positive economic profit is:**
Select correct option:
On the downward-sloping portion of its ATC.
At the minimum of its ATC.
On the upward-sloping portion of its ATC.
Above its ATC.

79. **if price is between AVC and ATC, the best and most practical thing for a perfectly competitive firm to do is:**
    Select correct option:
    Raise prices.
    Lower prices to gain revenue from extra volume.
    Shut down immediately, but not liquidate the business.
    Continue operating, but plan to go out of business.

me: a

80. **Moving down a typical isoquant, the slope of the isoquant :**
    Select correct option:
    Becomes flatter.
    Becomes steeper.
    Remains constant.
    Becomes linear.

81. **When the federal government installs a price support program that requires the government to purchase all of a good not bought in the private economy at the support price, changes in producer surplus:**
    Select correct option:
    Are negative.
    Are positive, but more than offset by the cost to consumers and the government.
    Are positive, and not offset by the cost to consumers and the government.
    None of the given options.

82. **One reason individuals are willing to pay for information in uncertain situations is that information:**
    Select correct option:
    Can reduce uncertainty.
    Is a way to diversify.
    Is a method of insurance.
    Always reduces the difference between the probabilities of possible outcomes.

83. **A firm produces leather handbags and leather shoes. If there are economies of scope, the product transformation curve between handbags and shoes will be:**
    Select correct option:
    A straight line.
    Bowed outward (concave).
    Bowed inward (convex).
    A rectangle.

84. **The area below the demand curve and above the price line measures:**
Select correct option:
Consumer surplus.
Economic profit.
Elasticity of demand.
The total value obtained from consuming the good or service.

85. **The supply curve for a competitive firm is:**
Select correct option:
Its entire MC curve.
The upward-sloping portion of its MC curve.
Its MC curve above the minimum point of the AVC curve.
Its MC curve above the minimum point of the ATC curve.

3

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1. What do economists mean when they state that a good is scarce?
a. There is a shortage or insufficient supply of the good at the existing price.
b. It is impossible to expand the availability of the good.
c. People will want to buy more of the good regardless of price.
d. The amount of the good that people would like to have exceeds the supply that is freely available from nature.

2. Economic choice and competitive behavior are the result of
a. basic human greed.
b. poverty.
c. private ownership of resources.
d. scarcity.

3. Rationing is
a. the allocation of a limited supply of a good or resource among users who would like to have more of it.
b. a function that can only be performed by market prices.
c. a function that is unnecessary except in cases where markets are used to allocate goods and resources.
d. essential only when the price of a product is set above market equilibrium.

4. The expression, "There's no such thing as a free lunch" implies that
a. everyone has to pay for his own lunch.
b. the person consuming a good must always pay for it.
c. costs are incurred when resources are used to produce goods and services.
d. no one has time for a good lunch anymore.

5. Which one of the following states a central element of the economic way of thinking?
a. Scarce goods are priceless.
b. Incentives matter--if the personal cost of a choice increases, individuals will be less likely to choose it.
c. The realism of the assumptions is the best test of an economic theory.

d. When deciding how to allocate time, the concept of opportunity cost is meaningless.

6. Which of the following is most clearly consistent with the basic postulate of economics with regard to human decision making?
a. People will never choose work over leisure.
b. People will buy less gas if the gasoline tax decreases 20 cents per gallon.
c. People will buy more orange juice at $2 per gallon than at $1 per gallon.
d. People will consume less beef if the price increases from $1 to $2 per pound.

7. Which one of the following is a positive economic statement?
a. An increase in the price of butter causes consumers to buy less butter.
b. Social conscience demands that we increase the minimum wage.
c. Taxes should be raised to halt inflation.
d. The sales tax on food should be repealed.

8. The basic difference between macroeconomics and microeconomics is that
a. macroeconomics looks at the forest (aggregate markets), while microeconomics is concerned with the individual trees (subcomponents).
b. macroeconomics is concerned with policy decisions, while microeconomics applies only to theory.
c. microeconomics is concerned with the forest (aggregate markets), while macroeconomics is concerned with the trees (components).
d. opportunity cost is applicable to macroeconomics, and the fallacy of composition relates to microeconomics.

9. Economic analysis assumes that
a. for the most part, individuals act out of selfish motives, and it is realistic to assume this is always true.
b. although individuals are at times selfish and at times altruistic, only their selfish actions may be predicted.
c. people are basically humanitarian and their actions are therefore difficult to predict.
d. changes in the personal benefits and costs associated with an activity will exert a predictable influence on human behavior.

10. Adam Smith believed that if people were free to pursue their own interests, then
a. greed and cheating would prevail in the market.
b. less would be produced than if altruism were our guiding principle.
c. they would generally be encouraged to produce goods and services that others valued highly (relative to their costs).
d. the public interest would be best served, but the interests of employers would be hurt.

1. Which of the following sayings best reflects the concept of opportunity cost?

a. "You can't teach an old dog new tricks."

b. "Time is money."

c. "I have a baker's dozen."

d. "There's no business like show business."

2. If an economy is operating at a point inside the production possibilities curve,

a. its resources are being wasted.

b. the curve will begin to shift inward.

c. the curve will begin to shift outward.

d. This is a trick question because an economy cannot produce at a point inside the curve.

3. The primary benefit that results when a nation employs its resources in accordance with the principle of comparative advantage is

a. an expansion in capital investment resulting from a reallocation of resources away from consumption.

b. a larger output resulting from a more efficient use of resources.

c. greater equality of income resulting from an increase in the number of workers.

d. an increase in the profitability of business enterprises resulting from an increase in capital formation.

4. The price of an airline ticket from Denver to Washington, D.C., is $600. A bus ticket is $150. Traveling by plane takes six hours, compared with 36 hours by bus. Other things constant, an individual would gain by choosing air travel if, and only if, his time were valued at more than

a. $6 per hour.

b. $8 per hour.

c. $10 per hour.

d. $15 per hour.

5. Does voluntary exchange create wealth (value)?

a. No, exchange does not expand output.

b. No, if one person gains, the other party must lose an equal amount.

c. Uncertain, it does when it results in the creation of additional goods and services; otherwise it does not.

d. Yes, trade generally permits the trading partners to gain more of what they value; this is why they agree to the terms of the exchange.

6. "Now that Blake paints the broad surfaces and I do the trim work, we can paint a house in three-fourths the time that it took for each of us to do both." This statement most clearly reflects
a. the importance of secondary effects.
b. the fallacy of composition.
c. the law of comparative advantage.
d. behavior inconsistent with economizing.

7. Which of the following will most likely occur under a system of clearly defined and enforced private property rights?
a. Resource owners will fail to conserve vital resources, even if they expect their scarcity to increase.
b. Resource owners will ignore the wishes of others, including others who would like to use the resource that is privately owned.
c. Resource owners will fail to consider the wishes of potential future buyers when they decide how to employ privately owned resources.
d. Resource owners will gain by discovering and employing their resources in ways that are highly valued by others.

8. Three basic decisions must be made by all economies. What are they?
a. how much will be produced; when it will be produced; how much it will cost
b. what the price of each good will be; who will produce each good; who will consume each good
c. what will be produced; how goods will be produced; for whom goods will be produced
d. how the opportunity cost principle will be applied; if and how the law of comparative advantage will be utilized; whether the production possibilities constraint will apply

9. If a firm or a nation desires to maximize its output, each productive assignment should be carried out by those persons who
a. have the highest opportunity cost.
b. have a comparative advantage in the productive activity.
c. can complete the productive activity most rapidly.
d. least enjoy performing the productive activity.

10. "The economic wealth of this country is primarily the result of the profit made by some individuals at the expense of others." The person who made this statement
a. has failed to comprehend that mutual gains result from specialization and

exchange.
b. has failed to comprehend the fallacy of composition.
c. has failed to understand the significance of the production possibilities constraint.
d. has utilized the economic way of thinking; the statement is essentially correct.

1. Which of the following would most likely increase the demand for peanut butter?
a. a decrease in the price of bread, a good that is often used with peanut butter
b. a discovery that the average daily consumption of peanut butter decreases one's life span by 15 years
c. crop failures that raise the price of peanuts
d. a decrease in the price of all substitute protein products

2. Economic profit is best defined as
a. a company's net income as indicated by its accounting statement.

b. the difference between the price of a product and the monetary cost of the raw materials used to produce it.
c. the difference between the revenue from the sale of a product and the opportunity cost of the resources used to produce it.
d. income paid by a business to its owners.

3. The long run is a time period of sufficient length to enable
a. producers to alter their use of fixed capital (the size of their plant and equipment).
b. producers to alter their output by utilizing labor and raw materials more intensively.
c. decision makers to adjust fully to a change in market conditions.
d. Both a and c are correct.

4. The number of persons wanting tickets to Super Bowl games is invariably greater than the number of tickets (and seats) available. This is evidence that the price of the tickets is
a. higher than the competitive equilibrium price.
b. equal to the competitive equilibrium price since the number of tickets bought equals the number sold.
c. lower than the competitive equilibrium price.
d. higher than the competitive equilibrium price when the demand is inelastic but lower when the demand is elastic.

5. "A reduction in gasoline prices caused the demand to increase. The lower prices led to an increase in demand for large cars, causing their prices to rise." These statements
a. are essentially correct.
b. contain one error; the lower gasoline prices would cause a reduction in demand for

large cars, not an increase.
c. contain one error; the lower gasoline prices would increase the quantity of gasoline demanded by consumers, not the demand for large cars.
d. contain two errors; the lower gasoline prices would cause the quantity of gasoline demanded (rather than demand for large cars) to increase, and the lower gasoline price would reduce (rather than increase) the demand for large cars.

6. A cold spell in Florida extensively reduced the orange crop, and, as a result, California oranges commanded a higher price. Which of the following statements best explains the situation?
a. The supply of Florida oranges fell, causing the supply of California oranges to increase as well as their price.
b. The supply of Florida oranges fell, causing the supply of California oranges to decrease and their price to increase.
c. The supply of Florida oranges fell, causing their price to increase and the demand for California oranges to increase.
d. The demand for Florida oranges was reduced by the freeze, causing an increase in the price of California oranges and a greater demand for them.

7. When a price floor is above the equilibrium price,
a. quantity demanded will exceed quantity supplied.
b. quantity supplied will exceed quantity demanded.
c. the market will be in equilibrium.
d. This is a trick question because price floors generally exist below the equilibrium price.

8. If the market price of a good is less than the opportunity cost of producing it,
a. the market price of the product will fall in the long run.
b. producers will increase supply in the long run.
c. resources will flow away from production of the good, causing supply to decline with the passage of time.
d. the situation will remain unchanged as long as supply and demand remain in balance.

9. The price of chicken increases as the result of higher beef prices. This indicates that
a. chicken and beef are substitutes.
b. chicken and beef are complements.
c. the market demand for beef is inelastic.
d. the market demand for chicken is elastic.

10. The invisible hand principle indicates that competitive markets can help promote the efficient use of resources
a. only if buyers and sellers really care, personally, about economic efficiency.
b. even when each market participant cares only about getting a "bigger slice of the pie" rather than about the overall efficiency of resource use.
c. even if business firms fail to produce goods efficiently.
d. if, and only if, businesses recognize their social obligation to keep costs low and use resources wisely. http://vustudents.ning.com

1. "A reduction in gasoline prices caused the demand to increase. The lower prices led to an increase in demand for large cars, causing their price to rise." This statement
a. is essentially correct.
b. contains one error the lower gasoline prices would cause a reduction in demand for large cars, not an increase.
c. contains one error the lower gasoline prices would increase the quantity demanded by consumers, not the demand.
d. contains two errors the lower gasoline prices would cause the quantity demanded (rather than demand) to increase, and the lower gasoline price would reduce (rather than increase) the demand for large cars.

2. "If gasoline sales were taxed, the price of gasoline would rise. Consequently, the quantity demanded of gasoline would decline. As a result of the higher gasoline prices, the demand for fuel-efficient automobiles would increase." This statement is
a. essentially correct.
b. incorrect; the high gasoline prices would cause the demand for gasoline, not the quantity demanded, to fall.
c. incorrect; the statement confuses a change in demand with a shift in supply.
d. incorrect; demand and quantity demanded are confused for both gasoline and fuel-efficient cars.

3. "As the price of gasoline rose, consumers decreased their quantity demanded. In addition, the demand for compact cars increased, causing their price to rise." This statement
a. is essentially correct.
b. contains one error the quantity demanded, not the demand for compact cars, increased.

c. contains two errors demand and quantity demanded are confused twice.
d. contains one error demand, not quantity demanded, for gasoline decreased.

4. "If gasoline sales were taxed, the price of gasoline would rise. Consequently, the demand for gasoline would decline. As a result of the higher gasoline prices, the demand for fuel-efficient automobiles would increase." This statement is
a. essentially correct.
b. incorrect; the high gasoline prices would cause the quantity demanded of gasoline, not the demand, to fall.
c. incorrect; the statement confuses a change in demand with a shift in supply.
d. incorrect; demand is confused with quantity demanded for both gasoline and fuel-efficient cars.

5. If the supply of apples decreases, which of the following will generally occur in a market setting?
a. Demand for apples will decrease.
b. The quantity demanded will increase.
c. The costs of apple producers will decrease.
d. The price of apples will increase.

6. If the supply of a good decreases, which of the following will generally occur in a market setting?
a. The price of the good will decrease.
b. Demand will decrease.
c. The quantity demanded will increase.
d. The quantity demanded will decrease.

7. "Lower fuel oil prices in 1986 led to a reduction in demand and lower prices of solar heating units. At the lower price, producers of solar heating units reduced the quantity supplied." This statement is
a. false; lower fuel oil prices would increase the demand for and price of solar heating units.
b. false; producers of solar units would expand production rather than reduce output if the price of the units fell.
c. false; if the demand for solar units fell, the supply of the units would decrease but not the quantity supplied.
d. essentially correct.

8. If the demand for a good increases, which of the following will generally occur in a market setting?
a. The price of the good will decrease.
b. The supply of the good will increase.

c. The quantity supplied will increase.
d. Producer profits will fall.

9. If the demand for a good decreases, which of the following will generally occur in a market setting?
a. The price of the good will increase.
b. The supply of the good will decrease.
c. The quantity supplied will decrease.
d. Producer profits will rise.

10. In a market economy, an increase in demand will generally cause the equilibrium
a. price to fall.
b. quantity supplied to increase.
c. quantity demanded to fall.
d. number of firms in the market to decline.

11. A decrease in demand will
a. reduce supply.
b. increase the quantity traded in the market.
c. cause higher prices, although quantity traded in the market will decline.
d. lead to a reduction in the quantity supplied.

1. If the United Auto Workers union can obtain a substantial wage increase for auto workers, the price of automobiles will rise. The rise can be attributed to
a. a shift to the right in the supply curve for automobiles.
b. a shift to the left in the supply curve for automobiles.
c. a shift to the right in the demand curve for automobiles.
d. a shift to the left in the demand curve for automobiles.

2. When a price floor is above the equilibrium price,
a. quantity demanded will exceed quantity supplied.
b. quantity supplied will exceed quantity demanded.
c. the market will be in equilibrium.
d. This is a trick question because price floors generally exist below the equilibrium price.

3. Rent control applies to about two-thirds of the private rental housing in New York City. Economic theory suggests that the below-equilibrium prices established by rent controls would

a. redistribute income from tenants to landlords.
b. promote a rapid increase in the future supply of housing.
c. result in poor service and quality deterioration of many rental units.
d. lead to a reduction in housing discrimination against minorities.

4. Which of the following is the most likely result of an increase in the minimum wage?
a. an increase in the employment of unskilled workers
b. a decrease in the unemployment rate of unskilled workers
c. an increase in the demand for unskilled workers
d. a decrease in the employment of unskilled workers

1. Which one of the following would most likely increase the demand for coffee?
a. a decrease in consumer income
b. a decrease in the price of coffee
c. an increase in the price of tea, a close substitute
d. a drought in the coffee-producing regions of Brazil

2. A 10 percent increase in the price of sugar reduces sugar consumption by about 5 percent. The increase causes households to
a. spend more on sugar.
b. spend less on sugar.
c. spend the same amount on sugar.
d. consume more goods like coffee and tea that are complements of sugar.

3. If the price of gasoline fell, the market demand curve for automobile tires, a complement, would
a. shift to the right.
b. shift to the left.
c. remain stationary.
d. become more elastic.

4. When economists say the demand for a product has increased, they mean that the
a. demand curve for the product has shifted to the left.
b. price of the product has fallen, and consequently consumers are buying more of the product.
c. cost of producing the product has increased.
d. amount of the product that consumers are willing to purchase at various prices has increased.

5. "I like ice cream, but after eating homemade ice cream last night, I want to have

something else for dessert today." This statement most clearly reflects
a. the budget constraint.
b. consumer irrationality.
c. the second law of demand: price elasticity increases with time.
d. the law of diminishing marginal utility.

6. People can travel within Washington, D.C., via the Metro subway system or by taxi. Suppose that taxi fares increase by 20 percent, while the subway fares remain constant. As the result of the higher taxi fares, the total revenue derived from subway fares ___________, while the total revenue derived from taxi fares ______________. (Fill in the blanks).
a. will decrease; may either increase or decrease
b. will increase; may either increase or decrease
c. may either increase or decrease; will increase
d. may either increase or decrease; will decrease

7. If Sarah's income rises from $2,000 to $2,400 per month and, as a result, she purchases 40 percent more designer clothing, then her income elasticity for designer clothing is
a. 0.5.
b. 1.0.
c. 2.0.
d. Not enough information is given to answer this question.

8. If the price of apples rises from 50 cents to $1.50 and quantity demanded falls from 1000 to 900, then we can conclude that the price elasticity for apples is:
a. -20
b. inelastic
c. elastic
d. both a and c are correct.

9. If the price of gasoline goes up and Dan now buys fewer candy bars because he has to spend more on gas, this would best be explained by the
a. substitution effect
b. income effect
c. highly elastic demand for gasoline
d. any of the above are possible explanations

10. Which of the following would increase the likelihood that consumers might purchase a product?
a. lower product price

b. improved quality
c. successful advertising
d. All of the above are correct.

1. Which of the following items is most likely to be an implicit cost of production?
a. property taxes on a building owned by the firm
b. transportation costs paid to a trucking supplier
c. rental payments for a building utilized by the company and rented from another party
d. interest income foregone on funds invested in the firm by the owners

2. An advantage of the corporate structure over proprietorship and partnership forms of business organization is that
a. stockholders in the corporation have limited liability, whereas proprietors or partners have unlimited liability.
b. ownership rights of a corporation may be transferred more easily.
c. large investment funds are more easily attracted by the corporation.
d. All of the above are correct.

3. The law of diminishing returns
a. is reflected in the eventually rising marginal cost curve for the firm in the short run.
b. implies that average fixed costs will remain unchanged as output expands.
c. is true for physical production activities but not for activities such as studying.
d. applies to a capitalist economy but would be irrelevant if the means of production were owned by the state.

4. Which of the following represents a long-run adjustment?
a. the hiring of four additional cashiers by a supermarket
b. a cutback on purchases of coke and iron ore by a steel manufacturer
c. construction of a new assembly-line plant by an automobile manufacturer
d. the extra dose of fertilizer used by a farmer on his wheat crop

5. In the short run, the marginal cost curve crosses the average total cost curve at
a. a point just below the average fixed cost curve.
b. the minimum point on the average total cost curve.
c. the maximum point of the average variable cost curve.
d. All of the above are correct.

6. When costs that do not change with the level of output are divided by the output level, you have calculated

a. total cost.
b. average total cost.
c. average fixed cost.
d. marginal cost.

7. If consumer demand for oranges suddenly fell, this would most likely reduce the average total costs for growers of

a. bananas, if bananas were frequently consumed with oranges.
b. apples, which consumers often substitute for oranges.
c. grapefruit, because these farmers use the same land and labor pool as orange growers.
d. wheat, because these farmers use land unsuitable for the growing of oranges.

8. Calculating the cost of owning and operating a used car for one year, a political science major included the items listed in the table below:

Purchase price	$5000
Gas and oil (20 cents per mile, 5000 miles)	$1000
Depreciation (estimated decline in the value of the car)	$1800
Insurance	$200
Maintenance	$150
Interest income foregone on $5000	$500
License tag	$80
TOTAL	$8730

Which of the following is the best appraisal of his calculations?

a. They are correct.
b. There is only one error, depreciation should not be included.
c. There is only one error, the purchase price should not be included.
d. There are two errors, neither the purchase price nor the interest income foregone should be included.

9. What kind of costs are irrelevant when making decisions?

a. sunk costs
b. marginal costs
c. fixed costs
d. variable costs

10. Which of the following would shift a firm's short-run cost curves upward?

a. an advance in technology
b. an increase in employees' wages
c. a decrease in the demand for the firm's product
d. a reduction in excise taxes levied on the firm's product

1. The short-run supply curve is more inelastic than the long-run supply curve because
a. resources are generally cheaper in the short run.
b. in the short run new firms will enter the industry, driving up the prices of resources.
c. consumers are willing to pay higher prices to obtain the commodity now, rather than wait until prices fall.
d. firms have less time to plan and vary all of their productive inputs in the short run; thus, per-unit costs will be higher.

2. In competitive price-taker markets, firms are assumed to be producing
a. identical products.
b. small products.
c. large products.
d. differentiated products.

3. When we say that a firm is a price taker, we are indicating that
a. the firm takes the price established in the market then tries to increase that price through advertising.
b. the firm can increase or decrease its rate of production and sales without having any significant effect on the price of the product it sells.
c. the demand curve faced by the firm is perfectly inelastic.
d. the firm will have to take a lower price if it wants to increase the number of units that it sells.

4. In price-taker markets, individual firms have no control over price. Therefore, the firm's marginal revenue curve is
a. indeterminate.
b. a downward-sloping curve.
c. constant at the market price of the product.
d. precisely the same as the firm's total revenue curve.

5. If marginal cost exceeds marginal revenue, a price-taker firm should
a. expand output.

b. reduce output.
c. lower its price.
d. Both a and c are correct.

6. When firms in a price-taker market are temporarily charging prices that exceed their production costs, the firms
a. will earn long-run economic profit.
b. will expand the scale of their operation and additional firms will enter the industry until price falls to the level of per-unit production cost.
c. will earn short-run economic profits that will be offset by long-run economic losses.
d. must be colluding or rigging the market, or otherwise they would be unable to charge such high prices.

7. When market conditions in a price-taker market are such that firms cannot cover their production costs, then
a. the firms will suffer long-run economic losses.
b. the firms will suffer short-run economic losses that will be exactly offset by long-run economic profits.
c. some firms will go out of business, causing prices to rise until the remaining firms can cover their production costs.
d. all firms will go out of business, since consumers will not pay prices that enable firms to cover their production costs.

8. When the price of a product rises, the increase in quantity supplied will generally be greater in the long run than the short run because
a. producers maximize short-run, but not long-run, profits.
b. over time, new firms will enter the industry and old firms will expand their operations in response to the price increase.
c. consumers are less resistant to higher prices in the long run than in the short run.
d. consumer income will expand in the long run, causing resource prices to rise, which will induce producers to increase output.

9. If occupational safety laws were changed so that firms no longer had to take expensive steps to meet regulatory requirements, we would expect that
a. the demand for the products of this industry would increase.
b. the market price of the products of this industry would decrease in the short run but not in the long run.
c. the firms in the industry would make long-run economic profit.
d. competition would force producers to pass the lower production costs on to

consumers in the long run.

10. "Our marginal revenue exceeds our marginal costs at current factor prices." This statement indicates that
a. an expansion in output will increase revenues more than costs.
b. the firm is maximizing its profit.
c. a larger output will reduce the firm's profit.
d. the firm is better at marketing its goods than it is at producing efficiently.

ANSWERS - CHAPTER 21

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1. d.

2. a.

3. b.

4. c.

5. b.

6. b.

7. c.

8. b.

9. d.

10. a.

SAMPLE TEST - CHAPTER 22

---

1. In a competitive price searcher market, the firms will
 a. be able to choose their price and the entry barriers into the market will be low.
 b. be able to choose their price and the entry barriers into the market will be high.
 c. have to accept the market price for their product and the entry barriers into the market will be low.
 d. have to accept the market price for their product and the entry barriers into the market will be high.

2. A profit-maximizing price searcher will expand output to the point where
 a. total revenue equals total cost.
 b. marginal revenue equals marginal cost.
 c. price equals average total cost.
 d. price equals marginal cost.

3. In the long run, neither competitive price takers nor competitive price searchers will earn economic profits because
 a. entry barriers into these markets are high.
 b. the government will dictate moderate prices for these firms.
 c. with low barriers to entry, competition among suppliers will force prices down to the level of production costs.
 d. marginal revenue is always less than marginal cost when barriers to entry are low.

4. If firms in a competitive price searcher market are currently experiencing positive economic profits, in the long run
 a. new firms will enter the market, and the current firms will experience a decrease in demand for their products until zero economic profit is again restored.
 b. new firms will enter the market, and the current firms will experience an increase in demand for their products until zero economic profit is again restored.

c. some existing firms will exit the market, and the remaining firms will experience an increase in demand for their products until zero economic profit is again restored.
d. some existing firms will exit the market, and the remaining firms will experience a decrease in demand for their products until zero economic profit is again restored.

5. As long as a market is contestable, even if it has only a few sellers
a. the threat of new entrants will prevent the current producers from producing inefficiently and charging prices above the competitive level.
b. the producers will be able to charge prices that are high enough to produce long-run economic profits.
c. the producers will not face new competition because the barriers to entry are high.
d. the market will never be expected to come close to the competitive result.

6. Entrepreneurial judgment
a. is necessary to make business decisions when no fixed decision rule can be used.
b. is fully incorporated into modern economic models of business behavior.
c. requires complex decisions involving uncertainty, discovery, and business judgment.
d. Both a and c are correct.

7. Compared to the outcome when the firms are price takers, competitive price searcher markets will result in
a. a wider variety of products and higher prices.
b. less product variety and higher prices.
c. a wider variety of products and lower prices.
d. less product variety and lower prices.

8. If a market is in long run equilibrium, which of the following conditions will be present in a competitive price taker market but absent from a competitive price searcher market?
a. P = ATC
b. MR = MC
c. P = MC
d. All of the above are true.

9. The strategy underlying price discrimination is
a. to charge higher prices to customers who have good substitutes available to

them.
b. to charge everyone the same price, but limit the quantity they are allowed to buy.
c. to increase total revenue by charging higher prices to those with the most inelastic demand for the product and lower prices to those with the most elastic demand.
d. to reduce per unit cost by charging higher prices to those with the most inelastic demand and lower prices to those with the most elastic demand.

10. If a government wanted to increase the prosperity of a nation, it could best serve this goal by
a. protecting domestic industries from international trade.
b. regulating the way in which firms can operate.
c. reducing barriers that restrict the ability of potential competitors to enter markets.
d. subsidizing firms in danger of going out of business.

ANSWERS - CHAPTER 22

1. a.

2. b.

3. c.

4. a.

5. a.

6. d.

7. a.

8. c.

9. c.

10. c.

SAMPLE TEST - CHAPTER 23

---

1. When economies of scale are important and an industry tends toward natural monopoly, splitting the industry into small, rival firms will
 a. lead to lower prices in the short run.
 b. cause prices to rise when demand is inelastic but fall when it is elastic.
 c. cause prices to fall because of the decline in producer profits.
 d. increase per-unit costs of production.

2. A monopolist will maximize profits by
 a. setting his price as high as possible.
 b. setting his price at the level that will maximize per-unit profit.
 c. producing the output where marginal revenue equals marginal cost and charging a price along the demand curve.
 d. producing the output where price equals marginal cost.

3. Which one of the following is the most accurate description of a monopolist?
 a. a firm that produces a single product
 b. a firm that is the sole producer of a narrowly defined product class, such as yellow, grade A, butter produced in Jackson County, Wisconsin
 c. a firm that is the sole producer of a product for which there are no good substitutes in a market with high barriers to entry
 d. a firm that is large relative to its competitors

4. Assuming that firms maximize profits, how will the price and output policy of an unregulated monopolist compare with ideal market efficiency?
 a. The output of the monopolist will be too large and its price too high.

b. The output of the monopolist will be too large and its price too low.
c. The output of the monopolist will be too small and its price too high.
d. The output of the monopolist will be too small and its price too low.

5. An oligopolistic market
a. has a small number of rival firms, and each is large relative to the market.
b. makes the demand for each firm dependent on the actions of its rivals.
c. has high entry barriers facing firms that could otherwise enter the market.
d. all of the above answers are correct.

6. Oligopolistic agreements on price tend to be unstable because
a. although the monopoly price is the best price for all firms, oligopolists are unaware of this.
b. although the monopoly price maximizes the joint profits of the firms, a secret price cut by any individual firm will increase the profits of that firm; hence, collusive agreements tend to break down.
c. the demand for the products of oligopolistic industries is inherently unstable relative to the demand for the products of non-oligopolistic industries.
d. firms in oligopolistic industries have more concern for consumers than do firms in competitive industries.

7. The price charged by oligopolists
a. will equal the equilibrium price in a price takers market if the oligopolists collude.
b. will equal the monopoly price if the oligopolists do not collude.
c. will generally lay between the monopoly and competitive market equilibrium prices.
d. will be the same whether the oligopolists cooperate with one another or not.

8. When firms use resources in an attempt to secure and maintain grants of market protection from the government, it is called
a. rent-seeking.
b. collusion.
c. franchising.
d. resource investment.

9. The incentive for the managers of a government-operated firm (for example, a state university) to promote internal efficiency and keep costs low will be
a. weak, because it will be difficult for voters and their representatives to monitor and eliminate the inefficiency of such firms.

b. strong, because public officials will have little concern for personal gain.
c. strong, because voters can easily recognize inefficiency and penalize the public-sector managers who are responsible.
d. weak, because government employees are less competent than those who work in the private sector.

10. When natural monopoly is present in an industry, the per-unit costs of production will be
a. lowest when there are a large number of producers in the industry.
b. lowest when a single firm generates the entire output of the industry.
c. lower for small firms than for large firms.
d. minimized at the output that maximizes the industry's profitability.

ANSWERS - CHAPTER 23

---

1. d.

2. c.

3. c.

4. c.

5. d.

6. b.

7. c.

8. a.

9. a.

10. b.

SAMPLE TEST - CHAPTER 11

---

1. State governments often use licensing to limit the entry of potential competitors into the retail liquor industry. To the extent the licensing procedures limit supply, push up prices, and lead to long-run economic profit, business entrepreneurs
 a. have an incentive to use both economic and political means in attempting to obtain the valuable licenses.
 b. have little incentive to enter the licensed industry.
 c. would enter the industry only if the licenses were free.
 d. would use economic, but not political, methods in attempting to obtain the valuable licenses.

2. Which one of the following public policy alternatives is most likely to increase the competitiveness of markets in the United States?
 a. stricter quotas restricting the entry of textile products into the country
 b. elimination of tariffs and quotas on automobiles, textiles, and steel products produced in other countries
 c. legislation allowing interlocking corporate directorates
 d. adoption of tighter licensing restrictions limiting the entry of persons into professional occupations

3. Which of the following practices is clearly illegal under current antitrust legislation?
 a. quantity discounts based on cost savings
 b. vertical mergers that do not lessen competition
 c. conglomerate mergers
 d. false or deceptive advertising

4. Which of the following was the first antitrust act passed in the United States?
 a. the Federal Trade Commission Act

b. the Clayton Act
c. the Robinson-Patman Act
d. the Sherman Act

5. The Herfindahl Index is useful for measuring the
a. market power of large firms within an industry.
b. market power of the four largest firms in an industry.
c. competitiveness of the U.S. economy.
d. degree of foreign competition present in an industry.

6. In recent years, the federal government was been less likely to oppose mergers, even those increasing a firm's market share, if
a. the merger is expected to reduce the prices paid by buyers of the industry's output.
b. both of the firms involved in the merger are large.
c. the firms compete in a market that is not served by foreign firms.
d. the firms compete in an industry that produces a homogenous product.

7. Economic theory indicates that regulations requiring automobile manufacturers to produce cars with air bags, stronger bumpers, and higher gasoline mileage
a. increase the supply of automobiles and lead to lower automobile prices.
b. decrease the supply of automobiles and lead to higher automobile prices.
c. increase demand and lead to a lower market price of automobiles.
d. leave the market price of automobiles unchanged, since competition will force manufacturers to bear the burden of these regulatory costs.

8. When making appointments to regulatory agencies, the special interest effect indicates that vote-maximizing political entrepreneurs have a strong incentive to appoint persons sympathetic to
a. the welfare of society in general.
b. the goals of economic efficiency.
c. the desires of those managing the regulated firms.
d. groups whose welfare is unlikely to be affected by the regulatory agency.

9. Public policies designed to improve the health, safety, and environmental conditions of workers or consumers is called
a. antitrust policy.
b. social regulation.
c. economic regulation.
d. All of the above are correct.

10. Which one of the following statements best summarizes U.S. public policy toward
competitive markets?
a. Public policy has consistently promoted competition.
b. Public policy has consistently promoted monopoly, even when competitive markets
would have been a realistic alternative.
c. Public policy has been contradictory, sometimes attempting to promote competition and other times adopting regulatory policies that have stifled competition.
d. Public policy has consistently promoted domestic competition while protecting domestic producers from foreign competitors when they are receiving governmental subsidies.

ANSWERS - CHAPTER 11

---

1. a.

2. b.

3. d.

4. d.

5. a.

6. a.

7. b.

8. c.

9. b.

10. c.

SAMPLE TEST - CHAPTER 12

---

1. The demand curve for a human resource will be more inelastic, the
 a. lower the skill level necessary to perform the job.
 b. easier it is to obtain the skill and knowledge necessary to provide the resource.
 c. more elastic the demand for the product the resource is used to produce.
 d. more inelastic the demand for the product the resource is used to produce.

2. If skilled labor is three times the cost of unskilled labor, a profit-maximizing firm will vary the quantity of each type of labor until the
 a. marginal product of each is the same.
 b. amount of unskilled labor used is three times the quantity of skilled labor used.
 c. amount of unskilled labor used is one-third the quantity of skilled labor used.
 d. marginal product of unskilled labor is one-third that of skilled labor.

3. The notion that the demand for inputs depends on the demand for outputs is termed
 a. inverse demand.
 b. derived demand.
 c. proportional demand.
 d. notational demand.

4. What concept implies that a firm's marginal revenue product curve for labor will slope downward in the short run?
 a. diminishing marginal returns
 b. the law of supply
 c. the law of decreasing cost
 d. the price equalization principle

5. Which one of the following labor resources will likely have the most inelastic supply schedule in the short run?
 a. filling station attendants

b. sales clerks
c. construction laborers
d. dentists

6. Suppose the United Auto Workers' Union succeeded in obtaining a 10 percent increase in the wages of its workers and that the wage increase caused automobile prices to rise. Employment in the auto industry would most likely fall if
a. the demand for American-made automobiles was highly elastic.
b. the supply of foreign-produced automobiles was highly inelastic.
c. American consumers considered foreign automobiles a poor substitute for American automobiles.
d. the demand for American automobiles was relatively constant and highly inelastic.

7. If the demand for a consumer good increases, the demand for resources required to make the good will
a. increase.
b. remain the same, but the quantity demanded will increase.
c. decrease due to economies of scale.
d. increase or decrease depending on whether the firm is labor intensive or capital intensive.

8. The marginal productivity theory most closely relates to the
a. demand for resources.
b. supply of resources.
c. concept of scarcity.
d. noncompetitive aspects of the resource market.

9. A decrease in demand for a product will cause the output of the product to
a. decline and the demand for and prices of productive resources used to produce the product to fall.
b. decrease and both the demand for and prices of productive resources used to produce the product to increase.
c. decrease but the demand for resources used to produce the product will remain constant.
d. increase and the resource prices to rise.

10. If the demand for workers with Ph.Ds. in economics increases, we would expect
a. the wages of economists to increase in the short run and the number of economists employed to expand in the long run.
b. the supply of economists to increase in the short run and their wages to fall

in the long run.
c. a rapid increase in the supply of economists, causing wages to remain constant.
d. the wages of economists to decline in the short run and the number of economists employed to increase in the long run.

ANSWERS - CHAPTER 12

1. d.

2. d.

3. b.

4. a.

5. d.

6. a.

7. a.

8. a.

9. a.

10. a.

SAMPLE TEST - CHAPTER 13

1. If all persons had identical preferences and productivity factors (ability, skill level, education, experience, etc.), the highest paying jobs would be the most
 a. prestigious.
 b. convenient.
 c. undesirable.
 d. easily learned.

2. Automated production methods are only attractive when they
 a. are undertaken in heavily unionized sectors of the economy.
 b. reduce per-unit costs.
 c. replace workers.
 d. decrease labor productivity.

3. Ceteris paribus, compared to a similar job offering no fringe benefits, a job with generous benefits will be likely to pay
 a. a lower wage rate.
 b. a higher wage rate.
 c. the same wage rate.
 d. twice the wage rate of the job with offering no fringe benefits.

4. Technological progress generally has the effect of
 a. creating permanently higher levels of unemployment.
 b. freeing resources that can now go to other uses.
 c. lowering the national standard of living.
 d. All of the above are correct.

5. Wages in the United States are higher than those in India primarily because
 a. the weather is better in the United States.
 b. a larger proportion of the labor force is unionized in the United States.
 c. less capital per employee is required in the United States.
 d. the human and physical capital of American workers exceeds that of their Indian

counterparts.

6. Economic theory suggests that the standard of living of American workers would rise if
 a. the minimum wage were doubled.
 b. automation were outlawed.
 c. workers were forced to retire earlier.
 d. technological improvements increased output per worker-hour.

7. If the minimum wage is increased and the demand for low-skill workers is inelastic, then
 a. the total wage payment to low-skill workers will rise.
 b. the employment of low-skill workers will decline by a larger percent than the increase in wage.
 c. firms will substitute low-skill workers for high-skill workers in order to keep their average wage bill roughly constant.
 d. the training opportunities available to low-skill workers will improve.

8. The earnings of all employees in a competitive economy would be equal if
 a. all individuals were homogeneous.
 b. all jobs were equally attractive.
 c. workers were perfectly mobile among jobs.
 d. All of the above would be necessary for equality of earnings.

9. Economic theory suggests that college graduates receive higher wages than those with only a high school education because
 a. college graduates are more productive.
 b. college graduates must be paid higher wages because their educational costs were higher.
 c. college graduates have formed stronger unions.
 d. the supply of high school graduates is small relative to the demand for their labor.

10. Which of the following is most likely to improve the productivity of the labor force?
 a. investment in human capital
 b. an increase in the minimum wage
 c. an increase in the percent of the population that is unionized
 d. federal legislation mandating full employment

ANSWERS - CHAPTER 13

1. c.

2. b.

3. a.

4. b.

5. d.

6. d.

7. a.

8. d.

9. a.

10. a.

SAMPLE TEST - CHAPTER 14

1. Other things constant, if there were an increase in demand for goods now compared
to goods in the future, we would expect
a. the interest rate to fall.
b. the capital investment rate to rise.
c. current consumption to decline.
d. the demand for loanable funds to increase.

2. The net present value of $1,000 received in the future would
a. decline if the $1,000 were received sooner.
b. increase if the delivery date for the $1,000 were set farther into the future.
c. decrease if the interest rate fell.
d. decrease if the interest rate rose.

3. Which of the following is true?
a. Investment and saving are terms used to describe different aspects of the capital-formation process.
b. When investors finance a project with their own funds, they are also saving.
c. Additional saving is required to finance an increase in investment.
d. All of the above are true.

4. The money rate of interest is the
a. real rate of interest minus the inflationary premium.
b. real rate of interest plus the inflationary premium.
c. real rate of interest divided by the inflationary premium.
d. inflationary premium minus the real interest rate.

5. The pure interest yield is real rate of return that one can expect on
a. purely speculative assets.
b. low-risk assets.
c. funds invested in the commodities market.
d. investments that pay no interest.

6. A competitive capital market is important to society because it directs resources toward projects that
a. can be completed quickly.
b. create wealth.
c. have an outcome that is known with certainty.
d. reduce the value of the resources employed.

7. Economic analysis indicates that when usury laws hold interest below the equilibrium rate,
a. saving will rise.
b. the quantity of loanable funds demanded by borrowers will decline.
c. high-risk borrowers will find it more difficult to obtain loanable funds.
d. there will be an excess supply of loanable funds relative to demand.

8. Compared to investing in physical capital, human capital investments are more likely to be influenced by
a. non-monetary considerations.
b. depreciation rates.
c. the rate of return.
d. opportunity costs.

9. If we make additional investments in machines that enhance our ability to produce goods and services, then
a. the owners of the investments must borrow funds.
b. the owners of the investments must reduce their current consumption.
c. someone will have to reduce current consumption.
d. future consumption will have to be reduced.

10. If the interest rate were 4 percent, the net present value of $100 to be received one year from now would be
a. $96.15.
b. $98.04.
c. $100.
d. $104.

ANSWERS - CHAPTER 14

1. d.

2. d.

3. d.

4. b.

5. b.

6. b.

7. c.

8. a.

9. c.

10. a.

SAMPLE TEST - CHAPTER 15

---

1. Which of the following is a powerful weapon that has served to increase the bargaining power of labor unions?
 a. right-to-work laws
 b. the strike

c. the lockout
d. section 14B of the Taft-Hartley Act

2. Since the demand for a narrowly defined product class (Fords, for example) is more
elastic than the demand for a broadly defined product class (all automobiles), a union will be better able to raise the wages of its members without causing a reduction in their employment when
a. it can organize an entire industry, rather than just selective firms within the industry.
b. it concentrates its organizational efforts on a single firm, ignoring the rest of the industry.
c. the demand for the product is highly elastic.
d. there are many good substitutes for union labor.

3. Which of the following would provide a check that limits the power of a union?
a. union shop provisions
b. foreign competition in the product market
c. a highly inelastic demand for the product
d. All of the above are correct.

4. In the early 1990s, which of the following countries had the smallest percent of its labor force unionized?
a. United States
b. Japan
c. Germany
d. Australia

5. When a union successfully raises the wages of its members, it will also
a. increase total productivity, which must rise in proportion to the wage rate.
b. encourage employers to find a substitute for the union labor.
c. raise the wages of non-union workers.
d. increase the share of income allocated to labor as opposed to capital.

6. As the football season approaches, the threat of a player strike would give
a. both players and management an incentive to bargain seriously.
b. only the players an incentive to bargain seriously.
c. only management an incentive to bargain seriously.
d. neither party much incentive to bargain seriously.

7. The share of the labor force that was unionized increased from approximately 10

percent in 1930 to more than 30 percent in 1955. During these 25 years, the share of national income allocated to labor (in contrast to capital)

a. remained virtually constant.
b. increased approximately 10 percent.
c. increased between 15 and 25 percent.
d. increased 17.6 percent.

8. Laws that prohibit union shop provisions are called

a. Taft-Hartley statutes.
b. right-to-work laws.
c. yellow dog contracts.
d. social legislation.

9. An increase in the percentage of the labor force that is unionized will cause average wages for all workers to rise because

a. union labor is more productive.
b. profit levels are lowered to increase wages.
c. strike threats promote wage increases.
d. This is a trick question because greater unionization does not imply higher average wages.

10. Which of the following is true?

a. Women are more highly unionized than men.
b. A higher percent of white workers belong to unions than do black workers.
c. The proportion of government employees belonging to a union is substantially higher than the proportion of private-sector workers who are union members.
d. There is little difference in incidence of unionization among occupational categories.

ANSWERS - CHAPTER 15

1. b.

2. a.

3. b.

4. a.

5. b.

6. a.

7. a.

8. b.

9. d.

10. c.

SAMPLE TEST - CHAPTER 16

---

1. In 1994, the wealthiest 20 percent of families in the United States earned approximately __________ percent of the before-tax total income. (Fill in the blank.)
 a. 34 percent
 b. 47 percent
 c. 62 percent
 d. 79 percent

2. Imagine two cities, Engelgrad and Legreeville, where the rich, middle, and poor

income recipients in one city have annual incomes identical to their counterparts' incomes in the other city. In Engelgrad, the poorest families one year almost always end up as the richest families the next year and become middle-income families the year after that. In Legreeville, however, the poor remain poor and the rich remain rich. Which of the following is true about the two cities?

a. Annual data on the distribution of income will indicate that the degree of income inequality in the two cities is identical.
b. The degree of lifetime income inequality in the two cities is identical.
c. The income mobility for the two cities is identical.
d. The distribution of annual income is more unequal in Legreeville.

3. Compared to high-income families, a larger proportion of low-income families
a. are headed by a person with at least a high school education.
b. have both a husband and a wife who work full time.
c. are headed by a person between 35 and 64 years old.
d. are single-parent families.

4. During 1980-1994, the official poverty rate of non-elderly families
a. steadily declined.
b. remained virtually unchanged.
c. rose.
d. steadily declined until 1985, when it began to increase.

5. When a person who receives welfare benefits earns income, those benefits are reduced as earned income rises. This is called
a. an implicit marginal tax.
b. the opportunity cost of income.
c. the work-leisure trade-off.
d. reverse discrimination.

6. According to the official measure of poverty, in 1994 the poverty rate of families in the United States was
a. 8.2 percent.
b. 11.6 percent.
c. 18.5 percent.
d. 22.0 percent.

7. International comparisons indicate that the degree of income inequality is greatest in
a. more developed countries.
b. less developed countries.

c. countries with a homogeneous population.
d. the United States.

8. With a negative income tax, an additional dollar earned by a low-income recipient would always cause the individual's disposable income to
a. increase, but by less than $l.
b. increase by exactly $l.
c. increase by more than $l.
d. decline unless he were a full-time worker.

9. The poverty threshold level defines poverty by calculating the cost of feeding a family and multiplying it by
a. two.
b. three.
c. four.
d. five.

10. Which of the following would cause the poverty threshold income level for a given
family to increase by 20 percent from one year to another?
a. a 20 percent increase in the family's income
b. a 20 percent decrease in the family's income
c. a 20 percent increase in the general level of prices
d. a 20 percent increase in real national income

ANSWERS - CHAPTER 16

---

1. b.

2. a.

3. d.

4. c.

5. a.

6. b.

7. b.

8. a.

9. b.

10. c.

SAMPLE TEST - CHAPTER 20

---

1. The payments made to the beneficiaries of the social security program are financed by
 a. the earlier insurance premiums paid by the recipients.
 b. current receipts derived from the payroll tax.
 c. income derived from funds that were previously invested in stocks and bonds.
 d. governmental savings accounts based on the amount of funds the recipient previously paid into the system.

2. In 1995, the number of workers, per social security beneficiary was approximately ________; by the year 2030, this figure is expected to ____________. (Fill in the blanks.)
 a. 3.2 ; increase to approximately 6.8
 b. 3.2; fall to approximately 2.0
 c. 8.0; still be approximately 8.0
 d. 8.0; fall to approximately 6.8

3. In the early 1990s, the one-fifth of U.S. families with the lowest incomes received approximately ____________ percent of the total income (after taxes and

tranfer benefits), while the proportion received by the highest fifth of families was approximately ____________ percent of the total. (Fill in the blanks.)

a. one, seventy two
b. five, forty two
c. eleven, thirty five
d. seventeen, twenty nine

4. During the last thirty years, the United States has experienced a decline in the percentage of "out-of-pocket" payments for medical services and an increase in the proportion of medical costs paid for by third-parties. This change in payment structure will tend to cause

a. a decline in the demand for medical services.
b. a decline in the price of medical services.
c. a reduction in the incentive of individuals to economize on their use of medical services.
d. a reduction in the total amount spent on medical services.

5. Which of the following correctly describes the relationship between education, gender, and income levels in recent decades?

a. Incomes of both men and women have risen at roughly the same rate for all education levels.
b. Incomes of men who graduated from college have increased relative to men with a high school education, but the same has not held true for women.
c. While the earnings of men have risen at roughly the same rate for all education levels, earnings for college educated women have risen relative to those of high school educated women.
d. Earnings of both male and female college graduates and post-graduates have increased considerably during the last two decades relative to those with only a high school education.

6. When we compare the prices of medical services with overall consumer prices, we find that between 1960 and 1995, the prices of medical services

a. actually declined relative to the overall consumer price index.
b. increased at approximately the same rate as overall consumer price index.
c. increased almost twice as much as the overall consumer price index.
d. increased almost ten times as much as the overall consumer price index.

7. An income tax that taxes all income above $25,000 per year at a constant 19 percent marginal rate would have an average tax rate that

a. was regressive.

b. increased as income rose.
c. fell as income rose.
d. remained constant as income rose.

8. Poor people, who receive income assistance from the government, often do not work
because
a. they face very high implicit marginal tax rates.
b. they are usually not physically able to work.
c. they have no desire for additional money.
d. the government forces them to stay at home and take care of their children.

9. In the United States during the past thirty years, the overall poverty rate has
a. declined, even though spending on transfer payments has been reduced as a share of GDP.
b. changed very little, even though spending on transfer payments has increased as a share of GDP during this period.
c. increased sharply as the result of the reduction in spending on transfer payments throughout most of this period.
d. gone down when spending on transfer payments rose and gone up when spending on
transfer payments fell.

10. When economists refer to a flat tax, they generally mean a tax where
a. everyone pays the same amount of tax.
b. everyone pays the same percentage of their total income in tax.
c. everyone pays the same marginal tax rate on their taxable income.
d. everyone pays tax on every dollar of income they earn.

ANSWERS - CHAPTER 20

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1. b.

2. b.

3. b.

4. c.

5. d.

6. c.

7. b.

8. a.

9. b.

10. c.

SAMPLE TEST - CHAPTER 21

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1. From which of the following countries did the United States import the largest dollar value of merchandise goods during 1994?
 a. Canada
 b. Mexico
 c. Saudi Arabia
 d. Great Britain

2. A U.S. trade policy that restricts the sale of foreign goods in the U.S. market will
 a. reduce the demand for U.S. export goods, since foreigners will be less able to buy our goods if they cannot sell to us.
 b. benefit producers in industries that export goods.
 c. increase the nation's income since it protects domestic jobs.
 d. enhance economic efficiency by allocating more resources to the areas of their greatest comparative advantage.

3. Suppose the United States imposed a tariff on television sets, preventing foreign-produced TVs from freely entering the U.S. market. Which of the following would

most likely occur?

a. The price of televisions to U.S. consumers would increase, and the demand for U.S. export products would rise.

b. The price of televisions to U.S. consumers would fall, and the demand for U.S. export products would fall.

c. The price of televisions to U.S. consumers would increase, and the demand for U.S. export products would fall.

d. The price of televisions to U.S. consumers would fall, and the demand for U.S. export products would rise.

4. Which of the following is correct?

a. An increase in the tariff on foreign-produced automobiles will benefit U.S. consumers of domestic cars.

b. An ongoing result of the North American Free Trade Agreement is that producers in both countries will benefit at the expense of consumers.

c. The wages of U.S. workers would sharply decline if we traded freely with low-wage countries such as Mexico.

d. Exports provide a nation with its primary source of purchasing power used to import goods.

5. The following chart indicates the production possibilities of food and clothing per worker day in the United States and South Korea.

	Units of Output Per Worker Day	
	United States	South Korea
Food	2	1
Clothing	4	3

Which of the following is true?

a. Mutual gains from trade could be realized if the United States specialized in clothing production and South Korea in production of food.

b. South Korean workers are the low-cost producers of food.

c. Mutual gains could be realized if the United States specialized in producing food and South Korea in producing clothing.

d. U.S. workers are the high-cost producers of food.

6. (I) Relative to a no-trade situation, if the United States exported wheat, the U.S. domestic wheat price would rise and domestic production of wheat would expand. (II) Relative to a no-trade situation, international exchange causes prices of all goods to rise.

a. I is true, II is false.

b. I is false, II is true.
c. Both are true.
d. Both are false.

7. Imposing a restrictive quota on the import of spiked track shoes will likely
a. increase the price of the shoes but decrease the quantity consumed.
b. increase both the price of the shoes and the quantity consumed.
c. leave the price of the shoes unchanged but decrease the quantity consumed.
d. leave the price of the shoes unchanged and also leave the quantity consumed unchanged since domestic producers will expand output to make up for a reduction in the supply of the imported shoes.

8. The political popularity of a tariff on imported goods that compete with products of a well-established domestic industry is
a. surprising since one would expect the political power of consumers to override the interests of even a well-established domestic industry.
b. surprising since one would expect the economic harm resulting from tariffs to be well understood by voters.
c. not surprising since such a tariff would generally benefit an easily recognized interest group at the expense of uninformed, uninterested consumers.
d. not surprising since the tariff enables domestic producers and consumers to gain at the expense of foreigners.

9. Hong Kong, Taiwan, and Singapore all have relatively
a. high trade barriers and high rates of economic growth.
b. high trade barriers and low rates of economic growth.
c. low trade barriers and high rates of economic growth.
d. low trade barriers and low rates of economic growth.

10. Which of the following will results from the North American Free Trade Agreement
(NAFTA)?
a. Domestic producers in the United States, Canada and Mexico will have free access to
larger markets.
b. The low wages of Mexican workers will make it virtually impossible for United States
and Canadian producers to export goods to Mexico.
c. An expanded variety of goods will be available to consumers in all three countries.
d. Both a and c are true; b is false.

ANSWERS - CHAPTER 21

1. a.

2. a.

3. c.

4. d.

5. c.

6. a.

7. a.

8. c.

9. c.

10. d.

ECO402 Microeconomics
Final Term Papers Solved MCQs
by Virtualians Social Network

1. **The "perfect information" assumption of perfect competition includes all of the following except one. Which one?**

Consumers know their preferences.
Consumers know their income levels.
Consumers know the prices available.
Consumers can anticipate price changes.

2. **Incremental cost is the same concept as _____________ cost.**

Average
Marginal
Fixed
Variable

3. **A production function assumes a given:**

Technology.
Set of input prices.
Ratio of input prices.
Amount of output.

4. **Assume that beer is an inferior good. If the price of beer falls, then the substitution effect results in the person buying ______ of the good and the income effect results in the person buying ______ of the good.**

More, more
More, less
Less, more
Less, less

5. **Producer surplus for the whole market can be thought of as:**

Total profit.
Variable operating profit plus factor rents.
Total profit minus factor rents earned by lower cost firms.

Total profit plus factor rents earned by lower cost firms.

6. **Baba Burgers has discovered there are economies of scope available to the restaurant. Which is most likely to be a response to this discovery?**

Baba expands burger production, focusing on that one good.
Baba contracts burger production.
Baba adds grilled chicken sandwiches to the menu.
Baba cuts back on the diversity of the menu.

7. **The endpoints (horizontal and vertical intercepts) of the budget line:**

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

8. **The "perfect information" assumption of perfect competition includes all of the following except one. Which one?**

Consumers know their preferences.
Consumers know their income levels.
Consumers know the prices available.
Consumers can anticipate price changes.

9. **The difference between the economic and accounting costs of a firm are:**

The accountant's fees.
The corporate taxes on profits.
The opportunity costs of the factors of production that the firm owns.
The sunk costs incurred by the firm.

10. **lastic and steel are substitutes in the production of body panels for certain automobiles. If the price of plastic increases, with other things remaining the same, we would expect:**

The price of steel to fall.
The demand curve for steel to shift to the right.
The demand curve for plastic to shift to the left.
The demand curve for steel to shift to the left.

Quiz 2

11. Cost-output elasticity can be written and calculated as:

MC/AC.
AC/MC
(AC)(MC)
(AC)2(MC)

12. Fixed costs are fixed with respect to changes in:

Output.
Capital expenditure.
Wages.
Time.

13. The presence of a learning curve may induce a decision maker in a startup firm to choose:

Low levels of output to exploit economies of scale.
High levels of output to exploit economies of scale.
Low levels of output to shift the average cost curve down over time.
High levels of output to shift the average cost curve down over time.

14. Which of the following is true regarding the relationship between returns to scale and economies of scope?

A firm experiencing economies of scope must also experience increasing returns to scale.
Economies of scale and economies of scope must occur together.
A firm experiencing increasing returns to scale must also experience economies of scope.
There is no definite relationship between returns to scale and economies of scope.

15. Salman would prefer a certain income of $20,000 to a gamble with a 0.5 probability of $10,000 and a 0.5 probability of $30,000. Based on this information:

We can infer that Salman is risk neutral.
We can infer that Salman is risk averse.
We can infer that Salman is risk loving.
We cannot infer Salman 's risk preferences.

16. When the average product is decreasing, marginal product:

Equals average product.
Is increasing.
Exceeds average product.
Is less than average product.

17. Government intervention can increase total welfare when:

There are costs or benefits that are external to the market.
Consumers do not have perfect information about product quality.
A high price makes the product unaffordable for most consumers.
There are costs or benefits that are external to the market and consumers do not have perfect information about product quality.

18. If a competitive firm's marginal cost curve is U-shaped then:

Its short run supply curve is U-shaped too.
Its short run supply curve is the downward-sloping portion of the marginal cost curve.
Its short run supply curve is the upward-sloping portion of the marginal cost curve.
Its short run supply curve is the upward-sloping portion of the marginal cost curve that lies above the short run average variable cost curve.

19. Economies of scope refer to:

Changes in technology.
The very long run.
Multiproduct firms.
Single product firms that utilize multiple plants.

20. **Although there are many reasons why a market can be non-competitive, the principal economic difference between a competitive and a non-competitive market is:**

The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.
The presence of government intervention.

21. **Indifference curves that are convex to the origin reflect:**

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases, then increases.

22. **The endpoints (horizontal and vertical intercepts) of the budget line:**

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

23. **Consider the following statements when answering this question: I. "In the long run equilibrium of a perfectly competitive market, a firm's producer surplus equals the sum of the economic rents earned on its inputs to production." II. "In the long run equilibrium of a perfectly competitive market, the amount of economic profit earned can differ across firms, but not the amount of producer surplus."**

I and II are true.
I is true, and II is false.
I is false, and II is true.
I and II are false.

24. **Suppose that the prices of good A and good B were to suddenly double. If good A is plotted along the horizontal axis:**

The budget line will become steeper.
The budget line will become flatter.
The slope of the budget line will not change.

The slope of the budget line will change, but in an indeterminate way.

3

25. A country's government would like to raise the price of one its most important agricultural crops, coffee beans. Which of the following government programs will result in higher prices for coffee beans?

Select correct option:

An import quota on coffee beans.
An acreage limitation program which provides coffee bean farmers financial incentives to leave some of their acreage idle.
An import tariff on coffee beans.
All of the given options.

26. Which of the following is NOT a generally accepted measure of the riskiness of an investment?

Select correct option:

Standard deviation.
Expected value.
Variance.
None of the given options.

27. Which of the following is a positive statement?

Select correct option:

When the price of a good goes up, consumers buy less of it.
When the price of a good goes up, firms produce more of it.
When the Federal government sells bonds, interest rates rise and private investment is reduced.
All of the given options.

28. **Rabia knows average total cost and average variable cost for a given level of output. Which of the following costs can she not determine given this information?**

Select correct option:

Average fixed cost
Fixed cost
Variable cost
Rabia can determine all of the above costs given the information provided.

29. **Which of the following is NOT true about price floors?**

Select correct option:

Consumer surplus is always lower than it would be in the competitive equilibrium.
Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.
Producer surplus could be negative as the result of a price floor.
Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.

30. **A production function in which the inputs are perfectly substitutable would have isoquants that are:**

Select correct option:

Convex to the origin.
L shaped.
Linear.
Concave to the origin.

31. **For an inferior good:**

Select correct option:

The price elasticity of demand is negative; the income elasticity of demand is negative.

The price elasticity of demand is positive; the income elasticity of demand is negative.
The price elasticity of demand is negative; the income elasticity of demand is positive.
The price elasticity of demand is positive; the income elasticity of demand is positive.

32. The short run is:
Select correct option:

Less than a year.
Three years.
However long it takes to produce the planned output.
A time period in which at least one input is fixed.

33. Any combination of products inside the production possibility frontier is:
Select correct option:

Allocatively inefficient
Consumer inefficient
Productively inefficient
None of the given option.

34. Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?
Select correct option:

Preferences are complete.
Preferences are transitive.
Consumers prefer more of a good to less.
None of the given options.

35. In 1970s the federal government imposed price controls on natural gas. Which of the following statements is true?
Select correct option:

These price controls caused a chronic excess supply of natural gas.

Consumers gained from the price controls, because consumer surplus was larger than it would have been under free market equilibrium.
Producers gained from the price controls because producer surplus was larger than it would have been under free market equilibrium.
This episode of price controls was unusual, because it resulted in no deadweight loss to society.

36. A production function defines the output that can be produced:
Select correct option:

At the lowest cost, given the inputs available.
With the fewest amount of inputs.
If the firm is technically efficient.
In a given time period if no additional inputs are hired.

37. A firm never operates:
Select correct option:

At the minimum of its ATC curve.
At the minimum of its AVC curve.
On the downward-sloping portion of its ATC curve.
On the downward-sloping portion of its AVC curve.

38. Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:
Select correct option:

Diseconomies of scope.
Economies of scale.
Decreasing returns to scale.

Increasing returns to scale.

39. In long-run competitive equilibrium, a firm that owns factors of production will have an:

Select correct option:

Economic profit = $0 and accounting profit > $0.
Economic and accounting profit = $0.
Economic and accounting profit > $0.
Economic and accounting profit can take any value.

4

40. When a product transformation curve is bowed outward, there are _______________ in production.

Economies of scope
Economies of scale
Diseconomies of scope
Diseconomies of scale

41. The marginal rate of technical substitution is equal to the:

Slope of the total product curve.
Change in output minus the change in labor.
Change in output divided by the change in labor.
Ratio of the marginal products of the inputs.

42. Consider two goods X and Y available for consumption. Assume that the price of X changes while the price of Y remains fixed. For these two goods, the price-consumption curve illustrates the:

Relationship between the price of X and consumption of Y.
Utility-maximizing combinations of X and Y for each price of X.
Relationship between the price of Y and the consumption of X.
Utility-maximizing combinations of X and Y for each quantity of X.

43. Assume that two investment opportunities have identical expected values of $100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:

A because it has less risk.
A because it provides higher potential earnings.

B because it has less risk.
B because of its higher potential earnings.

44. The law of diminishing returns refers to diminishing:
: Total returns.
Marginal returns.
Average returns.
All of the given option

45. : If the isoquants are straight lines, then:

: Inputs have fixed costs at all use rates.
The marginal rate of technical substitution of inputs is constant.
Only one combination of inputs is possible.
There are constant returns to scale.

H99s1: 4th
46. : The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

: 200
5Q
5
5 + (200/Q)

47. The demand curve facing a perfectly competitive firm is:

The same as the market demand curve.
Downward-sloping and less flat than the market demand curve.
Perfectly horizontal.
Perfectly vertical.

48. : The cost-output elasticity is used to measure:

Economies of scope.
Economies of scale.
The curvature in the fixed cost curve.
Steepness of the production function.

:

49. The budget line in portfolio analysis shows that:

The expected return on a portfolio increases as the standard deviation of that return increases.
The expected return on a portfolio increases as the standard deviation of that return decreases.
The expected return on a portfolio is constant.
The standard deviation of a portfolio is constant.

50. **A Rolling Stones song goes: "You can't always get what you want." This echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?**

Consumers must make the best purchasing decisions they can, given their limited incomes.
Workers do not have as much leisure as they would like, given their wages and working conditions.
Workers in planned economies, such as North Korea, do not have much choice over jobs.
Firms in market economies have limited financial resources.

51. **Compared to a tariff, an import quota, which restricts imports to the same amount as the tariff, will leave the country as a whole:**

Worse off than a comparable tariff.
Not as bad off as a comparable tariff.
About the same as a comparable tariff.
Any of the above can be true.

52. **Any combination of products inside the production possibility frontier is:**

Allocatively inefficient
Consumer inefficient
Productively inefficient
None of the given option.

53. **: In the long run, which of the following is considered a variable cost?**

Expenditures for wages.
Expenditures for raw materials.
Expenditures for capital machinery and equipment.
All of the given options.

54. **Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs. We can conclude that the production process involves:**

: Diseconomies of scope.
Economies of scale.
Decreasing returns to scale.
Increasing returns to scale.

5

55. **The change in the quantity demanded of a good resulting from a change in relative price with the level of satisfaction held constant is called the ______________ effect.**

Select correct option:

Giffen
Real price
Income
Substitution

56. **If a competitive firm's marginal cost always increases with output, then at the profit maximizing output level, producer surplus is:**

Select correct option:

Zero because marginal costs equal marginal revenue.
Zero because price equals marginal costs.
Positive because price exceeds average variable costs.
Positive because price exceeds average total costs.

57. **The concept of a risk premium applies to a person that is:**

Select correct option:

Risk averse.
Risk neutral.
Risk loving.
All of the given options.

58. Governments may successfully intervene in competitive markets in order to achieve economic efficiency:

Select correct option:

At no time; competitive markets are always efficient without government intervention.
In cases of positive externalities only.
In cases of negative externalities only.
In cases of both positive and negative externalities.

59. What happens in a perfectly competitive industry when economic profit is greater than zero?

Select correct option:

Existing firms may get larger.
New firms may enter the industry.
Firms may move along their LRAC curves to new outputs.
All of the given options.

60. Which of the following is NOT true about price floors?

Select correct option:

Consumer surplus is always lower than it would be in the competitive equilibrium.
Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.
Producer surplus could be negative as the result of a price floor.
Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.

61. Indifference curves that are convex to the origin reflect:

Select correct option:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases, then increases.

62. Which of the following statements is true regarding the differences between economic and accounting costs?

Select correct option:

Accounting costs include all implicit and explicit costs.
Economic costs include implied costs only.
Accountants consider only implicit costs when calculating costs.
Accounting costs include only explicit costs.

63. Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability. Refer to the above scenario, Rabia's expected expense for his car is:

Select correct option:

$20,000.
$19,000.
$18,000.
$17,500.

64. A decreasing-cost industry has a downward-sloping:

Select correct option:

Long-run marginal cost curve.
Short-run average cost curve.
Short-run marginal cost curve.
Long-run industry supply curve.

65. Producer surplus is measured as the:

Select correct option:

Area under the demand curve above market price.
Entire area under the supply curve.
Area under the demand curve above the supply curve.
Area above the supply curve up to the market price.

66. In a constant-cost industry, an increase in demand will be followed by:
Select correct option:

No increase in supply.
An increase in supply that will not change price from the higher level that occurs after the demand shift.
An increase in supply that will bring price down to the level it was before the demand shift.
An increase in supply that will bring price down below the level it was before the demand shift.

67. The "perfect information" assumption of perfect competition includes all of the following except one. Which one?
Select correct option:

Consumers know their preferences.
Consumers know their income levels.
Consumers know the prices available.
Consumers can anticipate price changes.

68. A Giffen good:
Select correct option:

Is always the same as an inferior good.
Is the special subset of inferior goods in which the substitution effect dominates the income effect.
Is the special subset of inferior goods in which the income effect dominates the substitution effect.
Must have a downward sloping demand curve

69. The object of diversification is:
Select correct option:

To reduce risk and fluctuations in income.
To reduce risk, but not to reduce fluctuations in income.
To reduce fluctuations in income, but not to reduce risk.
Neither to reduce risk, nor to reduce fluctuations in income.

70. A price support may be pictured by:
Select correct option:

Shifting the demand curve to the right by the amount of the government purchase.
Shifting the demand curve to the left by the amount of the government purchase.
Shifting the supply curve to the right by the amount of the government purchase.
Shifting the supply curve to the left by the amount of the government purchase.

71. Ali and Sarah decide to go into business together as economic consultants. Ali believes they have a 50-50 chance of earning $200,000 a year, and that if they don't, they'll earn $0. Sarah believes they have a 75% chance of earning $100,000 and a 25% chance of earning $10,000. Refer to the scenario, the probabilities discussed in the information above are:
Select correct option:

Objective because they are single numbers rather than ranges.
Objective because they have been explicitly articulated by the individuals involved.
Subjective because the event hasn't happened yet.
Subjective because they are estimates made by individuals based upon personal judgment or experience.

72. The law of diminishing returns refers to diminishing:
Select correct option:

Total returns.
Marginal returns.
Average returns.
All of the given options.

73. The marginal rate of technical substitution is equal to the:
Select correct option:

Slope of the total product curve.
Change in output minus the change in labor.
Change in output divided by the change in labor.
Ratio of the marginal products of the inputs.

74. Boeing Corporation and Airbus Industries are the only two producers of long-range commercial aircraft. This market is not perfectly competitive because:

Select correct option:

Each company has annual sales over $10 billion.
Each company can significantly affect prices.
Airbus cannot sell aircraft to the United States government.
All of the given options.

75. In a short run production process, the marginal cost is rising and the average total cost is falling as output is increased. Thus, marginal cost is:

Select correct option:

Below average total cost.
Above average total cost.
Between the average variable and average total cost curves.
Below average fixed cost.

76. In the short run, a perfectly competitive profit maximizing firm that has not shut down:

Select correct option:

Is operating on the downward-sloping portion of its AVC curve.
Is operating at the minimum of its AVC curve.
Is operating on the upward-sloping portion of its AVC curve.
Is not operating on its AVC curve.

77. When the federal government installs a price support program that requires the government to purchase all of a good not bought in the private economy at the support price, changes in producer surplus:

Select correct option:

Are negative.
Are positive, but more than offset by the cost to consumers and the government.
Are positive, and not offset by the cost to consumers and the government.
None of the given options.

78. Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability. Refer to the above scenario, Rabia's expected expense for his car is:

Select correct option:

$20,000.
$19,000.
$18,000.
$17,500.

79. Marginal utility measures:
Select correct option:

The slope of the indifference curve.
The additional satisfaction from consuming one more unit of a good.
The slope of the budget line.
The marginal rate of substitution.

80. The endpoints (horizontal and vertical intercepts) of the budget line:
Select correct option:

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

81. Deadweight loss refers to:
Select correct option:

Losses in consumer surplus associated with excess government regulations.
Situations where market prices fail to capture all of the costs and benefits of a policy.
Net losses in total surplus.
Losses due to the policies of labor unions.

82. the marginal product of an input is:
Select correct option:

Total product divided by the amount of the input used to produce this amount of output.
The addition to total output that adds nothing to profit.
The addition to total output due to the addition of one unit of all other inputs.

The addition to total output due to the addition of the last unit of an input, holding all other inputs constant.

83. If the isoquants are straight lines, then:

Select correct option:

Inputs have fixed costs at all use rates.
The marginal rate of technical substitution of inputs is constant.
Only one combination of inputs is possible.
There are constant returns to scale.

84. Consider the following statements when answering this question: I. "In the long run equilibrium of a perfectly competitive market, a firm's producer surplus equals the sum of the economic rents earned on its inputs to production." II. "In the long run equilibrium of a perfectly competitive market, the amount of economic profit earned can differ across firms, but not the amount of producer surplus."

Select correct option:

I and II are true.
I is true, and II is false.
I is false, and II is true.
I and II are false.

85. The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

Select correct option:

The market price is determined (through regulation) by the government.
The firm supplies a different good than its rivals.
The firm's output is a small fraction of the entire industry's output.
The short run market price is determined solely by the firm's technology.

86. Producer surplus is measured as the:

Select correct option:

Area under the demand curve above market price.
Entire area under the supply curve.
Area under the demand curve above the supply curve.
Area above the supply curve up to the market price.

87. price ceilings:
Select correct option:

Always increase consumer surplus.
May decrease consumer surplus if demand is sufficiently elastic.
May decrease consumer surplus if demand is sufficiently inelastic.
Always decrease consumer surplus.

88. An individual consumes only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?
Select correct option:

MRSxy is at a maximum.
Px/Py = money income.
MRSxy = money income.
MRSxy = Px/Py.

89. In the long run, a firm's producer surplus is equal to the:
Select correct option:

Economic rent it enjoys from its scarce inputs.
Revenue it earns in the long run.
Positive economic profit it earns in the long run.
Difference between total revenue and total variable costs.

90. The marginal product of an input is:
Select correct option:

Total product divided by the amount of the input used to produce this amount of output.
The addition to total output that adds nothing to profit.
The addition to total output due to the addition of one unit of all other inputs.
The addition to total output due to the addition of the last unit of an input, holding all other inputs constant.

91. Assume that two investment opportunities have identical expected values of $100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:
Select correct option:

A because it has less risk.

A because it provides higher potential earnings.
B because it has less risk.
B because of its higher potential earnings.

92. The price elasticity of demand for a demand curve that has a zero slope is:
Select correct option:

Zero.
One.
Negative but approaches zero as consumption increases.
Infinity.

93. A firm's producer surplus equals its economic profit when:
Select correct option:

Average variable costs are minimized.
Marginal costs equal marginal revenue.
Fixed costs are zero.
Total revenues equal total variable costs.

94. The long run supply curve in a constant-cost industry is linear and:
Select correct option:

Upward-sloping.
Downward-sloping.
Horizontal.
Vertical.

95. Prospective sunk costs:

Select correct option:

Are relevant to economic decision-making.
Are considered as investment decisions.
Rise as output rises.
Do not occur when output equals zero. 4th

96. An isoquant:

Select correct option:

Must be linear.
Cannot have a negative slope.
Is a curve that shows all the combinations of inputs that yield the same total output.
Is a curve that shows the maximum total output as a function of the level of labor input.
3rd

97. Which of the following would cause a shift to the right of the supply curve for gasoline? I. A large increase in the price of public transportation. II. A large decrease in the price of automobiles. III. A large reduction in the costs of producing gasoline.

Select correct option:

I only.
II only.
III only.
II and III only.
2nd

98. If price is between AVC and ATC, the best and most practical thing for a perfectly competitive firm to do is:

Select correct option:

Raise prices.
Lower prices to gain revenue from extra volume.
Shut down immediately, but not liquidate the business.
Continue operating, but plan to go out of business.
1st

99. The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

Select correct option:

The market price is determined (through regulation) by the government.
The firm supplies a different good than its rivals.
The firm's output is a small fraction of the entire industry's output.
The short run market price is determined solely by the firm's technology.

1st

100. The law of diminishing returns applies to:

Select correct option:

The short run only.
The long run only.
Both the short and the long run.
Neither the short nor the long run.

3rd

101. In an unregulated, competitive market consumer surplus exists because some:

Select correct option:

Sellers are willing to take a lower price than the equilibrium price.
Consumers are willing to pay more than the equilibrium price.
Sellers will only sell at prices above equilibrium price (or actual price).
Consumers are willing to make purchases only if the price is below the actual price.

102. Which of the following is a positive statement?

Select correct option:

The minimum wage should not be increased, because to do so would increase unemployment.
Smoking should be restricted on all airline flights.
All automobile passengers should be required to wear seatbelts in order to protect them against injury.
None of the given options.

103. Which of the following is true concerning the income effect of a decrease in price?

Select correct option:

It will lead to an increase in consumption only for a normal good.
It always will lead to an increase in consumption.
It will lead to an increase in consumption only for an inferior good.
It will lead to an increase in consumption only for a Giffen good.

104. Generally, long-run elasticities of supply are:

Select correct option:

Greater than short-run elasticities, because existing inventories can be exploited during shortages.

Greater than short-run elasticities, because consumers have time to find substitutes for the good.

Greater than short-run elasticities, because firms can make alterations to plant size and input combinations to be more flexible in production.

Smaller than short-run elasticities, because the firm has made long-term commitments it cannot easily modify.

4th

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1. **Which of the following will cause the demand curve for butter to shift to the left?**
   Select correct option:

   An increase in the price of the butter.
   A decrease in consumers' incomes.
   An increase in the price of margarine (a substitute).
   All of the given options.

2. **The slope of the budget line, faced by an investor deciding what percentage of her portfolio to place in a risky asset, increases when the:**
   Select correct option:

   Standard deviation of the portfolio gets smaller.
   Rate of return on the risk-free asset gets larger.
   Rate of return on the risky asset gets larger.
   Rate of return on money gets larger.

3. **Microeconomics is the branch of economics that deals with which of the following topics?**
   Select correct option:

   The behavior of individual consumers
   Unemployment and interest rates
   The behavior of individual firms and investors
   The behavior of individual consumers, firms and investors

4. **Jane is trying to decide which courses to take next semester. She has narrowed down her choice to two courses Microeconomics and Macroeconomics. Now she is having trouble. She just cannot decide which of the two courses to take. It's not that she is indifferent between the two courses, she just cannot decide. An economist would say that this is an example of** preferences that:
   Select correct option:

   Are not transitive.
   Are incomplete.

Violate the assumption that more is preferred to less.
All of the given options.

5. **The law of diminishing returns assumes that:**
Select correct option:

There is at least one fixed input.

All inputs are changed by the same percentage.
Additional inputs are added in smaller and smaller increments.

All inputs are held constant.

6. **According to the law of diminishing returns:**
Select correct option:

The total product of an input will eventually be negative.
The total product of an input will eventually decline.
The marginal product of an input will eventually be negative.
The marginal product of an input will eventually decline.

7. **Which of the following is true regarding income along a price consumption curve?**
Select correct option:

Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility

8. **The law of diminishing returns refers to diminishing:**
Select correct option:

Total returns.
Marginal returns.
Average returns.
All of the given options.

9. **The function which shows combinations of inputs that yield the same output is called a(n):**
Select correct option:

Isoquant curve.
Isocost curve.
Production function. Pro-
duction possibilities frontier

10. **Moving down along a demand curve for apples:**
Select correct option:

Consumer well-being decreases.
The marginal utility of apples decreases.
The marginal utility of apples increases.
None of the given options.

11. **The concept of a risk premium applies to a person that is:**
Select correct option:

Risk averse.
Risk neutral.
Risk loving.
All of the given options.

12. **The risk premium is the amount of money that a risk-averse person would pay to avoid taking a risk. Technological improvement:**
Select correct option:

Can hide the presence of diminishing returns.
Can be shown as a shift in the total product curve.
Allows more output to be produced with the same combination of inputs.
All of the given options are true.

Take a 10% chance at $100 rather than a sure $10.
Take a 50% chance at $4 and a 50% chance at $1 rather than a sure $1.
Take a sure $10 rather than a 10% chance at $100.
Take a sure $1 rather than a 50% chance at $4 and a 50% chance at losing $1.

15. **Suppose that the prices of good A and good B were to suddenly double. If good A is plotted along the horizontal axis:**
Select correct option:

The budget line will become steeper.
The budget line will become flatter.
The slope of the budget line will not change.
The slope of the budget line will change, but in an indeterminate way.

16. **Good A is a normal good. The demand curve for good A:**
Select correct option:

Slopes downward.
Usually slopes downward, but could slope upward.
Slopes upward.
Usually slopes upward, but could slope downward.

17. **Recently, Pakistan has experienced a large growth in population. As a result, the demand curve for telephone service in Pakistan:**

Has shifted to the right.
Has shifted to the left.
Has shifted down.
None of the given options.

18. **The change in the quantity demanded of a good resulting from a change in relative price with the level of satisfaction held constant is called the ____________ effect.**
Select correct option:
Giffen
Real price
Income
Substitution

19. **The function which shows combinations of inputs that yield the same output is called a(n):**

Select correct option:
Isoquant curve.
Isocost curve.
Production function.
Production possibilities frontier.

20. **The magnitude of the slope of an indifference curve is:**
    Select correct option:

Called the marginal rate of substitution.
Equal to the ratio of the total utility of the goods.
Always equal to the ratio of the prices of the goods.
All of the given options.

22. **Boeing Corporation and Airbus Industries are the only two producers of long-range commercial aircraft. This market is not perfectly competitive because:**
    Select correct option:

    Each company has annual sales over $10 billion.
    Each company can significantly affect prices.
    Airbus cannot sell aircraft to the United States government.
    All of the given options.

23. **Which of the following is NOT a factor of production?**
    Select correct option:

    Labour
    Land
    Capital
    Demand

24. Question # 7 of 15 (Start time: 03:43:42 PM) Total Marks: 1
    A Rolling Stones song goes: “You can’t always get what you want.” This echoes an important theme from microeconomics. Which of the following statements is the best example of this theme?
    Select correct option:

Consumers must make the best purchasing decisions they can, given their limited incomes.
Workers do not have as much leisure as they would like, given their wages and working conditions.
Workers in planned economies, such as North Korea, do not have much choice over jobs.
Firms in market economies have limited financial resources.

26. **Indifference curves are convex to the origin because of:**
Select correct option:

Transitivity of consumer preferences.
The assumption of a diminishing marginal rate of substitution.
The assumption that more is preferred to less.
The assumption of completeness.

27. **When the average product is decreasing, marginal product:**
Select correct option:

Equals average product.
Is increasing.
Exceeds average product.
Is less than average product.

29. **Indifference curves are convex to the origin because of:**
Select correct option:

Transitivity of consumer preferences.
The assumption of a diminishing marginal rate of substitution.
The assumption that more is preferred to less.
The assumption of completeness.

30. **If Px = Py, then when the consumer maximizes utility:**
Select correct option:
X must equal Y.

MU(X) may equal MU(Y), but it is not necessarily so.
X and Y must be substitutes.

32. **Which of the following will NOT cause a shift to the right in the demand curve for beer?**
Select correct option:

A health study indicating positive health benefits of moderate beer consumption.
An increase in the price of French wine (a substitute).
A decrease in the price of potato chips (a complement).

33. **The law of diminishing returns applies to:**
Select correct option:

The short run only.
The long run only.
Both the short and the long run.
Neither the short nor the long run.

35. **Any risk-averse individual would always:**
    Select correct option:

Take a 10% chance at $100 rather than a sure $10.
Take a 50% chance at $4 and a 50% chance at $1 rather than a sure $1.
Take a sure $10 rather than a 10% chance at $100.
Take a sure $1 rather than a 50% chance at $4 and a 50% chance at losing $1.

36. **The weighted average of all possible outcomes of a project, with the probabilities of the outcomes used as weights, is known as the:**
    Select correct option:

Variance.
Standard deviation.
Expected value.
Coefficient of variation.

38. **The expected value is the weighted average of the payoffs or values resulting from all** possible outcomes The budget line in portfolio analysis shows that:
    Select correct option:

The expected return on a portfolio increases as the standard deviation of that return increases.

The expected return on a portfolio increases as the standard deviation of that return decreases.
The expected return on a portfolio is constant.
The standard deviation of a portfolio is constant.

40. For an inferior good:
    Select correct option:

The price elasticity of demand is negative; the income elasticity of demand is negative.
The price elasticity of demand is positive; the income elasticity of demand is negative.
The price elasticity of demand is negative; the income elasticity of demand is positive.
The price elasticity of demand is positive; the income elasticity of demand is positive.

41. **Which of the following statements about markets and industries is TRUE?**
    Select correct option:

A market includes buyers but not sellers.
A market includes sellers but not buyers.
An industry includes buyers but not sellers.
An industry includes sellers but not buyers.

43. **When the snob effect exists, a change in price is likely to:**
    Select correct option:

Change total revenue less than if there were no network externalities.
Change total revenue more than if there were no network externalities.
Change total revenue the same amount as if there were no network externalities.
Not change total revenue at all.

44. **A production function in which the inputs are perfectly substitutable would have isoquants** that are:
    Select correct option:

Convex to the origin.
L shaped.
Linear.
Concave to the origin.

:An increase in income, holding prices constant, can be represented as:
Select correct option:

46. A change in the slope of the budget line.
    A parallel outward shift in the budget line.
    An outward shift in the budget line with its slope becoming flatter.
    A parallel inward shift in the budget line.

47. **The rate at which one input can be reduced per additional unit of the other input, while holding output constant, is measured by the:**
    Select correct option:

Marginal rate of substitution.
Marginal rate of technical substitution.
Slope of the isocost curve.
Average product of the input.

48. Which of the following is NOT a factor of production?
Labor
Land
Capital
Demand

49. Oscar consumes only two goods, X and Y. Assume that Oscar is not at a corner solution, but he is maximizing utility. Which of the following is NOT necessarily true?
MRSxy = Px/Py.
MUx/MUy = Px/Py.
Px/Py = money income.
Px/Py = slope of the indifference curve at the optimal choice.

50. The object of diversification is:
To reduce risk and fluctuations in income.
To reduce risk, but not to reduce fluctuations in income.
To reduce fluctuations in income, but not to reduce risk.
Neither to reduce risk, nor to reduce fluctuations in income.

51. Due to capacity constraints, the price elasticity of supply for most products is:
The same in the long run and the short run.
Greater in the long run than the short run.
Greater in the short run than in the long run.
Too uncertain to be estimated.

52. Salman would prefer a certain income of $20,000 to a gamble with a 0.5 probability of $10,000 and a 0.5 probability of $30,000. Based on this information:
We can infer that Salman is risk neutral.
We can infer that Salman is risk averse.
We can infer that Salman is risk loving.
We cannot infer Salman's risk preferences.

53. Assume that two investment opportunities have identical expected values of $100,000. Investment A has a variance of 25,000, while investment B's variance is 10,000. We would expect most investors (who dislike risk) to prefer investment opportunity:
A because it has less risk.
A because it provides higher potential earnings.
B because it has less risk.
B because of its higher potential earnings.

54. The expected value is a measure of:
Risk.
Variability.
Uncertainty.
Central tendency.

55. Which of the following costs always declines as output increases?
Average cost
Fixed cost
Average fixed cost
Average variable cost

56. Which of the following pairs of goods are NOT complements?
Hockey sticks and hockey pucks
Computer CPU's and computer monitors
On campus student housing and off campus rental apartments
All of the given options

57. If capital is measured on the vertical axis and labor is measured on the horizontal axis, the slope of an isoquant can be interpreted as the:
Rate at which the firm can replace capital with labor without changing the output rate.
Average rate at which the firm can replace capital with labor without changing the output rate.
Marginal product of labor.
Marginal product of capital.

58. Which of the following is a positive statement?
The minimum wage should not be increased, because to do so would increase unemployment.
Smoking should be restricted on all airline flights.
All automobile passengers should be required to wear seatbelts in order to protect them against injury.
None of the given options.

59. Which of the following is true regarding income along a price consumption curve?
Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility.

60. What happens if price falls below the market clearing price?
Demand shifts out.
Supply shifts in.
Quantity demanded decreases, quantity supplied increases, and price falls.
Quantity demanded increases, quantity supplied decreases, and price rises.

61. If X and Y are perfect substitutes, which of the following assumptions about indifference curves is not satisfied?
Completeness.
Transitivity.

More is preferred to less.
Diminishing marginal rate of substitution.

62. The endpoints (horizontal and vertical intercepts) of the budget line:
Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

Any risk-averse individual would always:
Select correct option:
Take a 10% chance at $100 rather than a sure $10.
Take a 50% chance at $4 and a 50% chance at $1 rather than a sure $1.
Take a sure $10 rather than a 10% chance at $100.

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The function which shows combinations of inputs that yield the same output is called a(n):
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Airbus cannot sell aircraft to the United States government.
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Expected value.
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Ref: EXPECTED VALUE
The expected value is the weighted average of the payoffs or values resulting from all possible outcomes

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The price elasticity of demand is positive; the income elasticity of demand is negative.
The price elasticity of demand is negative; the income elasticity of demand is positive.
The price elasticity of demand is positive; the income elasticity of demand is positive.

REF: When the income-consumption curve has a negative slope, the quantity demanded decreases with income. The income elasticity of demand is negative. The good is an inferior good

Which of the following statements about markets and industries is TRUE?
Select correct option:
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THE SNOB EFFECT
If the network externality is negative, a snob effect exists. The snob effect refers to the desire to own exclusive or unique goods. The quantity demanded of a “snob” good is higher the fewer the people who own it.

A production function in which the inputs are perfectly substitutable would have isoquants that are:

Select correct option:
Convex to the origin.
L shaped.
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Concave to the origin.

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Rate of return on the risky asset gets larger.
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Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers, firms and investors

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Select correct option:

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Are incomplete.
Violate the assumption that more is preferred to less.
All of the given options.

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Additional inputs are added in smaller and smaller increments.

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According to the law of diminishing returns:
Select correct option:

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The total product of an input will eventually decline.

The marginal product of an input will eventually be negative.
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Select correct option:

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Isocost curve.
Production function.
Production possibilities frontier

Moving down along a demand curve for apples:
Select correct option:

Consumer well-being decreases.
The marginal utility of apples decreases.
The marginal utility of apples increases.
None of the given options.

The concept of a risk premium applies to a person that is:
Select correct option:

Risk averse.
Risk neutral.
Risk loving.
All of the given options.

REF: The risk premium is the amount of money that a risk-averse person would pay to avoid taking a risk.

Technological improvement:
Select correct option:

Can hide the presence of diminishing returns.
Can be shown as a shift in the total product curve.
Allows more output to be produced with the same combination of inputs.
All of the given options are true.

The change in the quantity demanded of a good resulting from a change in relative price with the level of satisfaction held constant is called the _______________ effect.
Select correct option:

Giffen

Real price

Income

Substitution

If a competitive firm's marginal cost always increases with output, then at the profit maximizing output level, producer surplus is:
Select correct option:

Zero because marginal costs equal marginal revenue.

Zero because price equals marginal costs.

Positive because price exceeds average variable costs.

Positive because price exceeds average total costs.

The concept of a risk premium applies to a person that is:
Select correct option:

Risk averse.

Risk neutral.

Risk loving.

All of the given options.

Governments may successfully intervene in competitive markets in order to achieve economic efficiency:
Select correct option:

At no time; competitive markets are always efficient without government intervention.

In cases of positive externalities only.

In cases of negative externalities only.

In cases of both positive and negative externalities.

What happens in a perfectly competitive industry when economic profit is greater than zero?
Select correct option:

Existing firms may get larger.

New firms may enter the industry.

Firms may move along their LRAC curves to new outputs.

All of the given options.

Which of the following is NOT true about price floors?
Select correct option:

Consumer surplus is always lower than it would be in the competitive equilibrium.

Producer surplus could be lower, higher, or the same as it would be in competitive equilibrium.

Producer surplus could be negative as the result of a price floor.

Producers will often respond to a price floor by cutting production to the point at which price equals marginal cost.

Indifference curves that are convex to the origin reflect:

Select correct option:

An increasing marginal rate of substitution.

A decreasing marginal rate of substitution.

A constant marginal rate of substitution.

A marginal rate of substitution that first decreases, then increases.

Which of the following statements is true regarding the differences between economic and accounting costs?
Select correct option:

Accounting costs include all implicit and explicit costs.

Economic costs include implied costs only.

Accountants consider only implicit costs when calculating costs.

Accounting costs include only explicit costs.

Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability. Refer to the above scenario, Rabia's expected expense for his car is:
Select correct option:

$20,000.

$19,000.

$18,000.

$17,500.

A decreasing-cost industry has a downward-sloping:
Select correct option:

Long-run marginal cost curve.

Short-run average cost curve.

Short-run marginal cost curve.

Long-run industry supply curve.

Producer surplus is measured as the:
Select correct option:

Area under the demand curve above market price.

Entire area under the supply curve.

Area under the demand curve above the supply curve.

Area above the supply curve up to the market price.

In a constant-cost industry, an increase in demand will be followed by:
Select correct option:

No increase in supply.
An increase in supply that will not change price from the higher level that occurs after the demand shift.
An increase in supply that will bring price down to the level it was before the demand shift.
An increase in supply that will bring price down below the level it was before the demand shift.

The "perfect information" assumption of perfect competition includes all of the following except one. Which one?
Select correct option:

Consumers know their preferences.
Consumers know their income levels.

Consumers know the prices available.

A Giffen good:
Select correct option:

Is always the same as an inferior good.

effect.

Is the special subset of inferior goods in which the income effect dominates the substitution effect.

Must have a downward sloping demand curve.

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:

The demand for both Y and Z will increase

The demand for Y will increase while the demand for Z will decrease

The demand for Y will decrease while the demand for Z will increase

The demand for both Y and Z will decrease

Which of the following can be thought of as a barrier to entry?
Select correct option:

Scale economies.

Patents.

Strategic actions by incumbent firms.

All of the given options are true.

A new technology which reduces costs for firms':
Select correct option:

Shifts the supply curve to the right

Shifts the supply curve to the left

Reduces the equilibrium quantity

Raises the equilibrium price

A normative economic statement:
Select correct option:

Is a statement of fact.

Is a hypothesis used to test economic theory.

Is a statement of what ought to be, not what is.

Is a statement of what will occur if certain assumptions are true.

The extra value that consumers receive above what they pay for that good is called:
Select correct option:

Producer surplus

Utility

Marginal utility

Consumer surplus

The point at which AC intersects MC is where:
Select correct option:

AC is decreasing.

MC is at its minimum.

AC is at its minimum.

AC is at its maximum.

If the income elasticity of demand is 1/2, the good is:
Select correct option:

A luxury.

A normal good (but not a luxury).

An inferior good.

A Giffen good.

What happens in the market for airline travel when the price of traveling by rail decreases?
Select correct option:

The demand curve shifts left.

The demand curve shifts right.

The supply curve shifts left.

The supply curve shifts right.

Indifference curves that are convex to the origin reflect:
Select correct option:

An increasing marginal rate of substitution.

A decreasing marginal rate of substitution.

A constant marginal rate of substitution.

A marginal rate of substitution that first decreases, then increases.

If diminishing marginal utility holds, and a person consumes less of a good, then all else being equal:
Select correct option:

The price of the good will rise.

Marginal utility will rise

Expenditure on the good will increase

Marginal utility will decline

Prospective sunk costs:
Select correct option:

Are relevant to economic decision-making.
Are considered as investment decisions.
Rise as output rises.
Do not occur when output equals zero

An isoquant:
Select correct option:

Must be linear.
Cannot have a negative slope.
Is a curve that shows all the combinations of inputs that yield the same total output.
Is a curve that shows the maximum total output as a function of the level of labor input.

Which of the following would cause a shift to the right of the supply curve for gasoline? I. A large increase in the price of public transportation. II. A large decrease in the price of automobiles. III. A large reduction in the costs of producing gasoline.
Select correct option:

I only.
II only.
III only.
II and III only.

If price is between AVC and ATC, the best and most practical thing for a perfectly competitive firm to do is:
Select correct option:
Raise prices.
Lower prices to gain revenue from extra volume.
Shut down immediately, but not liquidate the business.
Continue operating, but plan to go out of business.

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:
Select correct option:
The market price is determined (through regulation) by the government.
The firm supplies a different good than its rivals.
The firm's output is a small fraction of the entire industry's output.
The short run market price is determined solely by the firm's technology.

The law of diminishing returns applies to:
Select correct option:
The short run only.
The long run only.
Both the short and the long run.
Neither the short nor the long run.

In an unregulated, competitive market consumer surplus exists because some:
Select correct option:
Sellers are willing to take a lower price than the equilibrium price.
Consumers are willing to pay more than the equilibrium price.
Sellers will only sell at prices above equilibrium price (or actual price).
Consumers are willing to make purchases only if the price is below the actual price.

Which of the following is a positive statement?
Select correct option:
The minimum wage should not be increased, because to do so would increase unemployment.

Smoking should be restricted on all airline flights.

All automobile passengers should be required to wear seatbelts in order to protect them against injury.

None of the given options.

Which of the following is true concerning the income effect of a decrease in price?
Select correct option:

It will lead to an increase in consumption only for a normal good.

It always will lead to an increase in consumption.

It will lead to an increase in consumption only for an inferior good.

It will lead to an increase in consumption only for a Giffen good.

Generally, long-run elasticities of supply are:
Select correct option:

Greater than short-run elasticities, because existing inventories can be exploited during shortages.

Greater than short-run elasticities, because consumers have time to find substitutes for the good.

Greater than short-run elasticities, because firms can make alterations to plant size and input combinations to be more flexible in production.

Smaller than short-run elasticities, because the firm has made long-term commitments it cannot easily modify.

The demand curve facing a perfectly competitive firm is:

► The same as the market demand curve.

► Downward-sloping and less flat than the market demand curve.

► Perfectly horizontal.

► Perfectly vertical.

Which of the following statements is TRUE about the demand curve for a perfectly competitive firm?

► The demand curve is same as its average revenue curve, but not the same as its marginal revenue curve.

► The demand curve is same as its average revenue curve and its marginal revenue curve.

► The demand curve is same as its marginal revenue curve, but not the same as its average revenue curve.

► The demand curve is not the same as either its marginal revenue curve or its average revenue curve.

In a perfectly competitive market:

► There are few buyers.
► There is a single seller.
► There is a cartel.
► **No single buyer or seller can significantly affect the market price.**

Although there are many reasons why a market can be non-competitive, the principal economic difference between a competitive and a non-competitive market is:

► **The extent to which any firm can influence the price of the product.**
► The size of the firms in the market.
► The annual sales made by the largest firms in the market.
► The presence of government intervention.

Our economy is characterized by:

► **Unlimited wants and needs.**
► Unlimited material resources.
► No energy resources.
► Abundant productive labor.

When the current price is above the market-clearing level, we would expect:

► Quantity demanded to exceed quantity supplied.
► **Quantity supplied to exceed quantity demanded.**
► Greater production to occur during the next period.
► None of the given options.

Which of the following will NOT cause a rightward shift in the demand curve for beer?

► **A change in the price of beer.**
► A decrease in the price of potato chips (a complement).
► A health study indicating positive health benefits of moderate beer consumption.
► An increase in the price of French wine (a substitute).

The assumption that preferences are complete:

► Recognizes that there may be pairs of market baskets that cannot be compared.

▶ Means that between any two market baskets of goods, the consumer can determine that either one is preferred to the other or that she is indifferent between them.

▶ Means that a consumer will spend his entire income.

▶ Is unnecessary, as long as transitivity is assumed.

The slope of an indifference curve reveals:

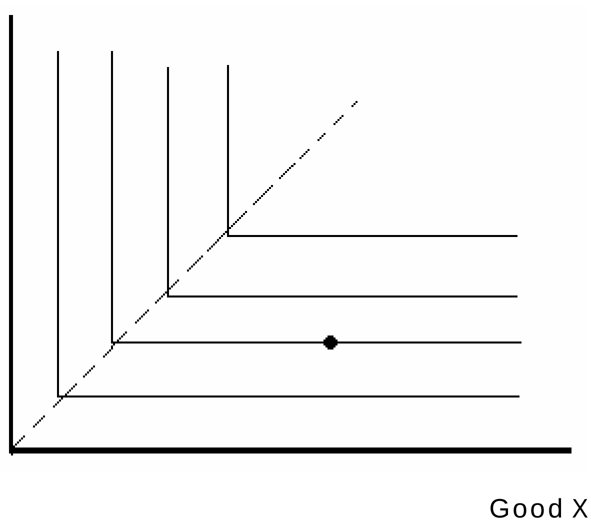
▶ That preferences are complete.

▶ The marginal rate of substitution of one good for another good.

▶ The ratio of market prices.

▶ That preferences are transitive.

Ahmad's preferences for good X and good Y are shown in the diagram below.



Based on figure given above, it can be inferred that:

▶ Ahmad does not consider good X as "good."

▶ Ahmad will never purchase any of good Y.

▶ Ahmad regards good X and good Y as perfect substitutes.

▶ Ahmad regards good X and good Y as perfect complements.

If indifference curves are concave to the origin, which of the following assumptions regarding preferences is being violated?

▶ Diminishing marginal rates of substitution.

▶ Transitivity of preferences.

▶ More is preferred to less.

▶ Completeness.

Assume that food is measured on the horizontal axis and clothing on the vertical axis. If the price of food falls relative to that of clothing then the budget line will:

► **Become flatter.**
► Become steeper.
► Shift outward.
► Become steeper or flatter depending on the relationship between prices and income.

An individual consumes only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?

► MRSxy is at a maximum.
► Px / Py = Money income.
► MRSxy = Money income.
► **MRSxy = Px / Py.**

Denise is shopping for lobsters and eclairs. When she faces budget line b1, she chooses market basket A over market basket B. When she faces budget line b2, she chooses basket B over basket C. Which of the following assumption of consumer theory helps us determine Denise's preference ordering over basket A and basket C?

► Completeness.
► More is better than less.
► **Transitivity.**
► Convexity.

Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?
► Preferences are complete.
► Preferences are transitive.
► Consumers prefer more of a good to less.
► **None of the given options.**

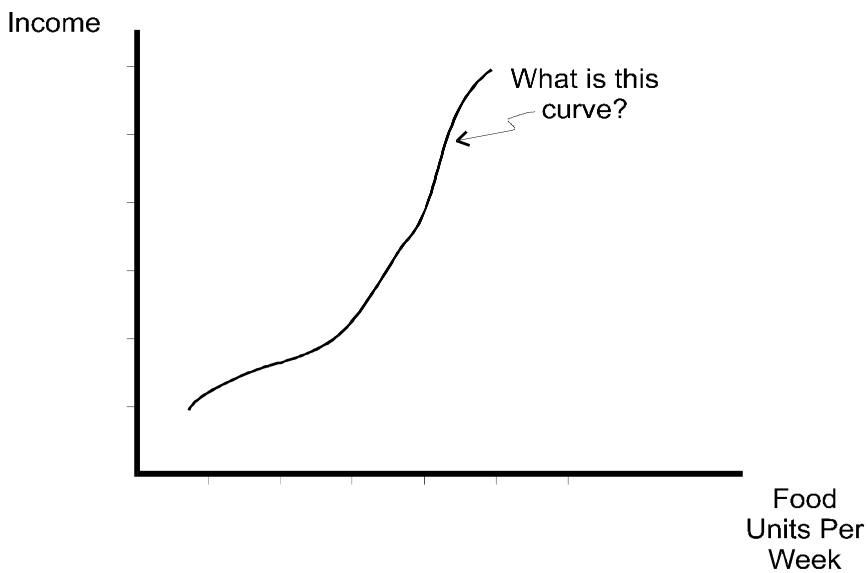
Omar consumes only two goods, X and Y. Assume that Omar is not at a corner solution, but he is maximizing utility. Which of the following is NOT necessarily true?

► MRSxy = Px / Py.
► MUx / MUy = Px / Py.
► **Px / Py = Money income.**
► Px / Py = Slope of the indifference curve at the optimal choice.

Which of the following is TRUE regarding utility along a price consumption curve?

► It is constant.
► It changes from point to point.
► It changes only if income changes.
► It changes only for normal goods.

The curve in the diagram below is called:



► The price-consumption curve.
► The demand curve.
► The income-consumption curve.
► The Engel curve.

Assume that beer is a normal good. If the price of beer rises, then the substitution effect results in the person buying ---------------- of the good and the income effect results in the person buying ---------------- of the good.

► Less, less.
► More, more.
► More, less.
► Less, more.

The difference between what a consumer is willing to pay for a unit of a good and what must be paid when actually buying it is called:

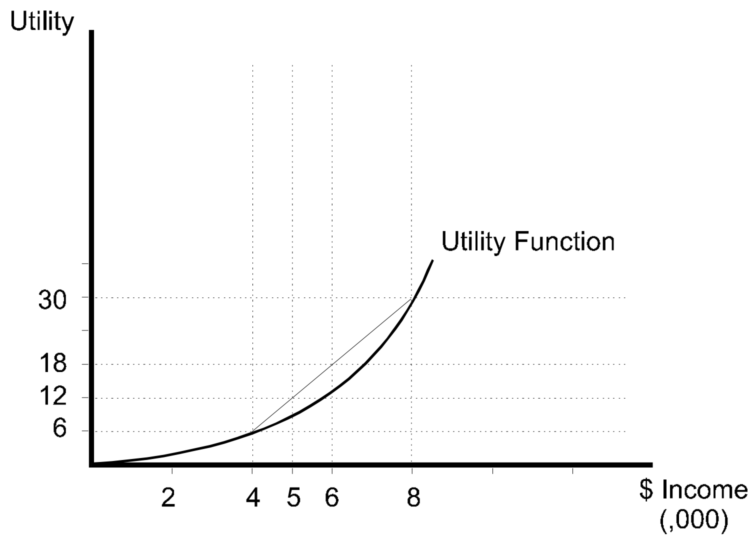
► Producer surplus.
► Consumer surplus.
► Cost benefit analysis.
► Net utility.

When the snob effect exists, a change in price is likely to:

► Change total revenue less than if there were no network externalities.
► Change total revenue more than if there were no network externalities.
► Change total revenue the same amount as if there were no network externalities.
► Not change total revenue at all.

Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability.
Refer to the above scenario, Rabia's expected expense for his car is:
► $20,000.
► $19,000.
► $18,000.
► $17,500.

Rabia and Samina are shopping for new cars (one each). Rabia expects to pay $15,000 with 1/5 probability and $20,000 with 4/5 probability. Samina expects to pay $12,000 with 1/4 probability and $20,000 with 3/4 probability.
Refer to the above scenario, Samina's expected expense for her car is:
► $19,000.
► $18,000.
► $17,500.
► $15,000.



The individual pictured in above figure:

- ► Must be risk-averse.
- ► Must be risk-neutral.
- ► Must be risk-loving.
- **► None of the given options.**

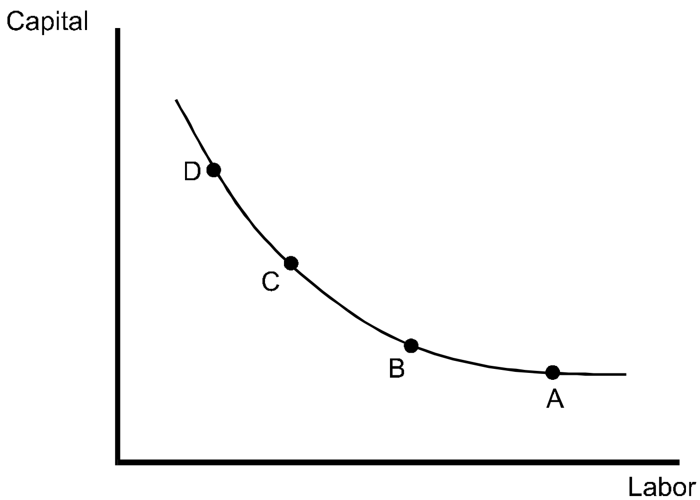
The budget line in portfolio analysis shows that:

- ► The expected return on a portfolio increases as the standard deviation of that return increases.
- **► The expected return on a portfolio increases as the standard deviation of that return decreases.**
- ► The expected return on a portfolio is constant.
- ► The standard deviation of a portfolio is constant.

The indifference curve between expected return and the standard deviation of return for a risk-averse investor is:

- **► Downward-sloping.**
- ► Upward-sloping.
- ► Horizontal.
- ► Vertical.

The diagram below shows an isoquant for the production of wheat.



Which point has the highest marginal productivity of labor?

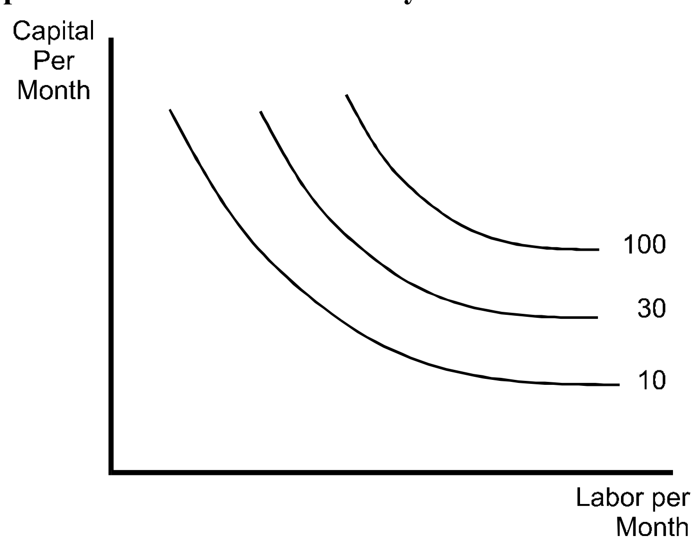
► Point A.

► Point B.

► Point C.

► Point D.

According to the diagram below, where each isoquant's output level is marked to the right of the isoquant, production is characterized by:



► Decreasing returns to scale.

► Constant returns to scale.

► Increasing returns to scale.

► None of the given options.

Which of the following statements is TRUE regarding the differences between economic costs and accounting costs?

► Accounting costs include all implicit and explicit costs.
► Economic costs include implied costs only.
► Accountants consider only implicit costs when calculating costs.
► Accounting costs include only explicit costs.

Prospective sunk costs:
► Are relevant to economic decision-making.
► Are considered as investment decisions.
► Rise as output rises.
► Do not occur when output equals zero.

Which of the following statements demonstrates an understanding of the importance of sunk costs for decision making?

I. "Even though I hate my MBA classes, I can't quit because I've spent so much money on tuition."

II. "To break into the market for soap, our firm needs to spend $10 million on creating an image that is unique to our new product. When deciding whether to develop the new soap, we need to take this marketing cost into account."

► I only.
► II only.
► Both I and II.
► Neither I nor II.

Which of the following statements correctly uses the concept of opportunity cost in decision making?

I. "Because my secretary's time has already been paid for, my cost of taking on an additional project is lower than it otherwise would be."

II. **"Since NASA is running under budget this year, the cost of another space shuttle launch is lower than it otherwise would be."**

► Only I.
► Only II.
► Both I and II.
► Neither I nor II.

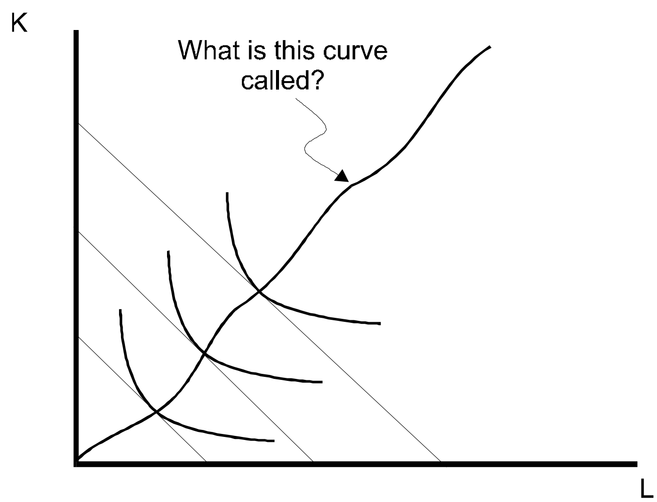
Rabia knows average total cost and average variable cost for a given level of output. Which of the following costs can she not determine given this information?
► Average fixed cost.
► Fixed cost.
► Variable cost.
► Rabia can determine all of the costs given the information provided.

For any given level of output:

► Marginal cost must be greater than average cost.
► Average fixed cost must be greater than average variable cost.
► Fixed cost must be greater than variable cost.
► None of the given options is necessarily correct.

Assume that a firm spends $500 on two inputs, labor (plotted on the horizontal axis) and capital (plotted on the vertical axis). If the wage rate is $20 per hour and the rental cost of capital is $25 per hour, the slope of the isocost curve will be:
► 500.
► 25/500.
► -20/25 or - 4/5.
► -25/20 or -5/4.

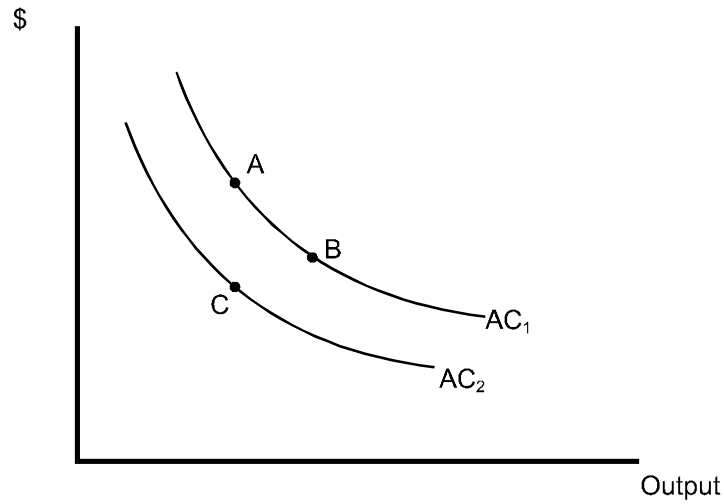
The curve in the diagram is called:



► The income-consumption curve.
► The long-run total cost curve.
► The expansion path.
► The price-consumption curve.

A firm employs 100 workers at a wage rate of $10 per hour and 50 units of capital at a rate of $21 per hour. The marginal product of labor is 3 and the marginal product of capital is 5. The firm:
► Is producing its current output level at the minimum cost.
► Could reduce the cost of producing its current output level by employing more capital and less labor.
► Could reduce the cost of producing its current output level by employing more labor and less capital.

► Could increase its output at no extra cost by employing more capital and less labor.



A movement from A to C in the above figure may represent:

► Economies of scale.
► Diseconomies of scale.
► **Learning.**
► Economies of scope.

If current output is less than the profit-maximizing output, then the next unit produced:

► Will decrease profit.
► **Will increase cost more than it increases revenue.**
► Will increase revenue more than it increases cost.
► Will increase revenue without increasing cost.

If current output is less than the profit-maximizing output then which of the following must be TRUE?

► Total revenue is less than total cost.
► Average revenue is greater than average cost.
► **Marginal revenue is less than marginal cost.**
► Marginal revenue is greater than marginal cost.